

Blockchain - NEP Sem VI

NMCPC62 : Cryptocurrency and Blockchain Development

Module - 6: Advanced Topics and Trends in Blockchain

(6 Hours)

Instructors : Geocey Shejy, Lifna C S, Pradnya Raut

Topics to be covered

1. Layer-2 Scaling Solutions:
 - Polygon, Lightning Network, and Optimistic Rollups
2. Decentralized Finance (DeFi):
 - Protocols, Platforms, and Applications, Working of Liquidity Pools, Numericals
3. Non-Fungible Tokens (NFTs):
 - Standards, Creation, and Marketplace Integration
4. Blockchain Interoperability: Polkadot & Cosmos
5. Blockchain's Role in Emerging Technologies: AI, IoT, and Metaverse
6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for any domain

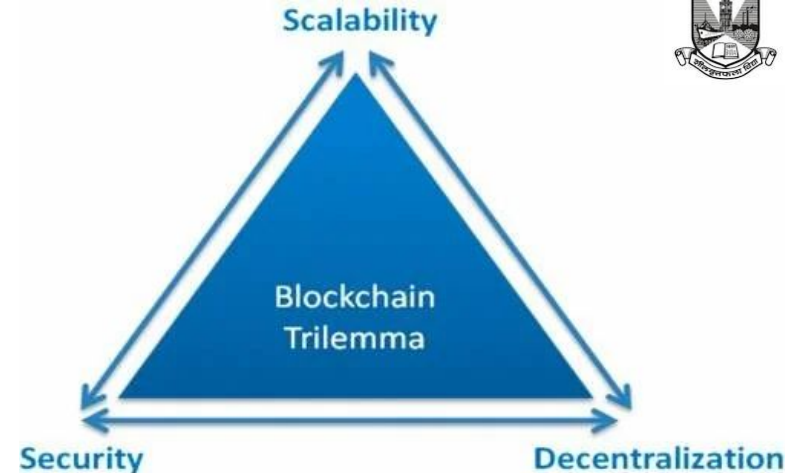
1. Layer-2 Scaling Solutions

Understanding the Scalability Challenge

- Bitcoin processes ~7 transactions per second (TPS).
- Ethereum handles ~15–30 transactions per second (TPS).
- Visa manages over 2,000 transactions per second (TPS) with 65,000+ peak capacity.
- Layer-1 blockchains face a "Trilemma" balancing security, decentralization, and speed.
- High network demand results in transaction congestion and expensive gas fees.
- Layer-2 solutions are required to move high-volume processing off the main chain.
- Scalability is the primary barrier to global retail and enterprise blockchain adoption.
- Layer-2 integration enables "Visa-level" performance while maintaining network security.

1. Layer-2 Scaling Solutions

Understanding Layer-1 Limitations

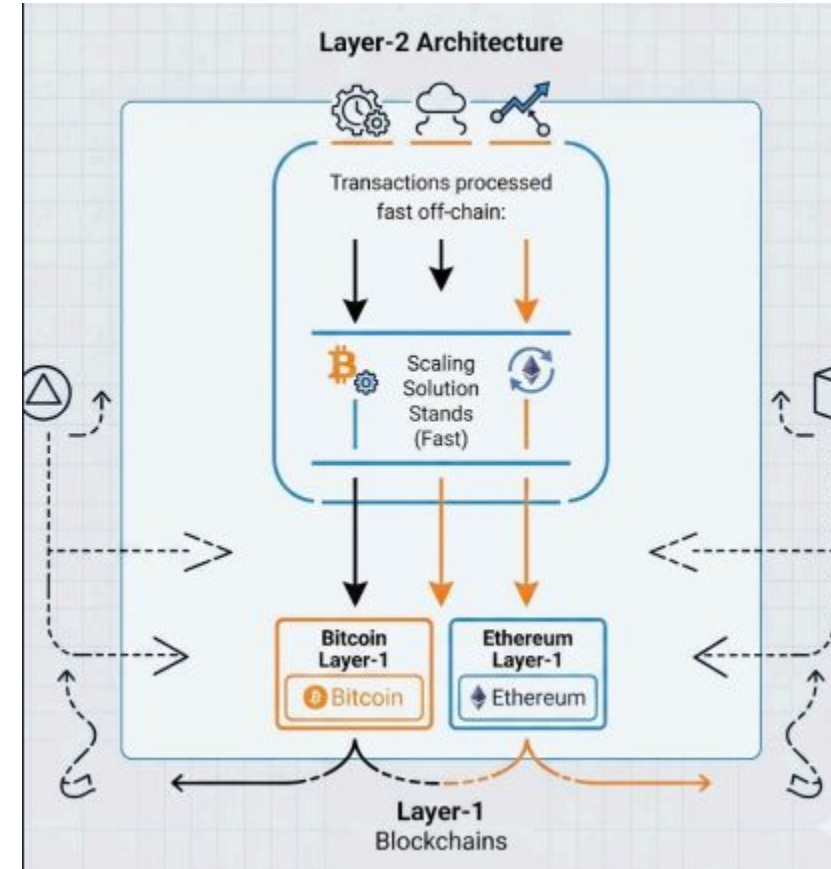


- Layer-1 blockchains are limited by the physical speed of global node synchronization.
- Increased network usage leads to significant latency and high transaction costs.
- The "Blockchain Trilemma" prevents Layer-1 from scaling without losing security or decentralization.
- Layer-2 solutions provide the necessary infrastructure for high-speed, low-cost operations.
- Moving transaction execution off-chain preserves the integrity of the underlying Layer-1.
- These advancements are the key requirement for the next phase of blockchain evolution.

1. Layer-2 Scaling Solutions

Understanding Layer-2 Solutions

- enhance blockchain scalability by processing transactions off-chain while maintaining security
- finality through the base Layer-1 blockchain,
- enabling faster, cheaper, and more efficient transactions.

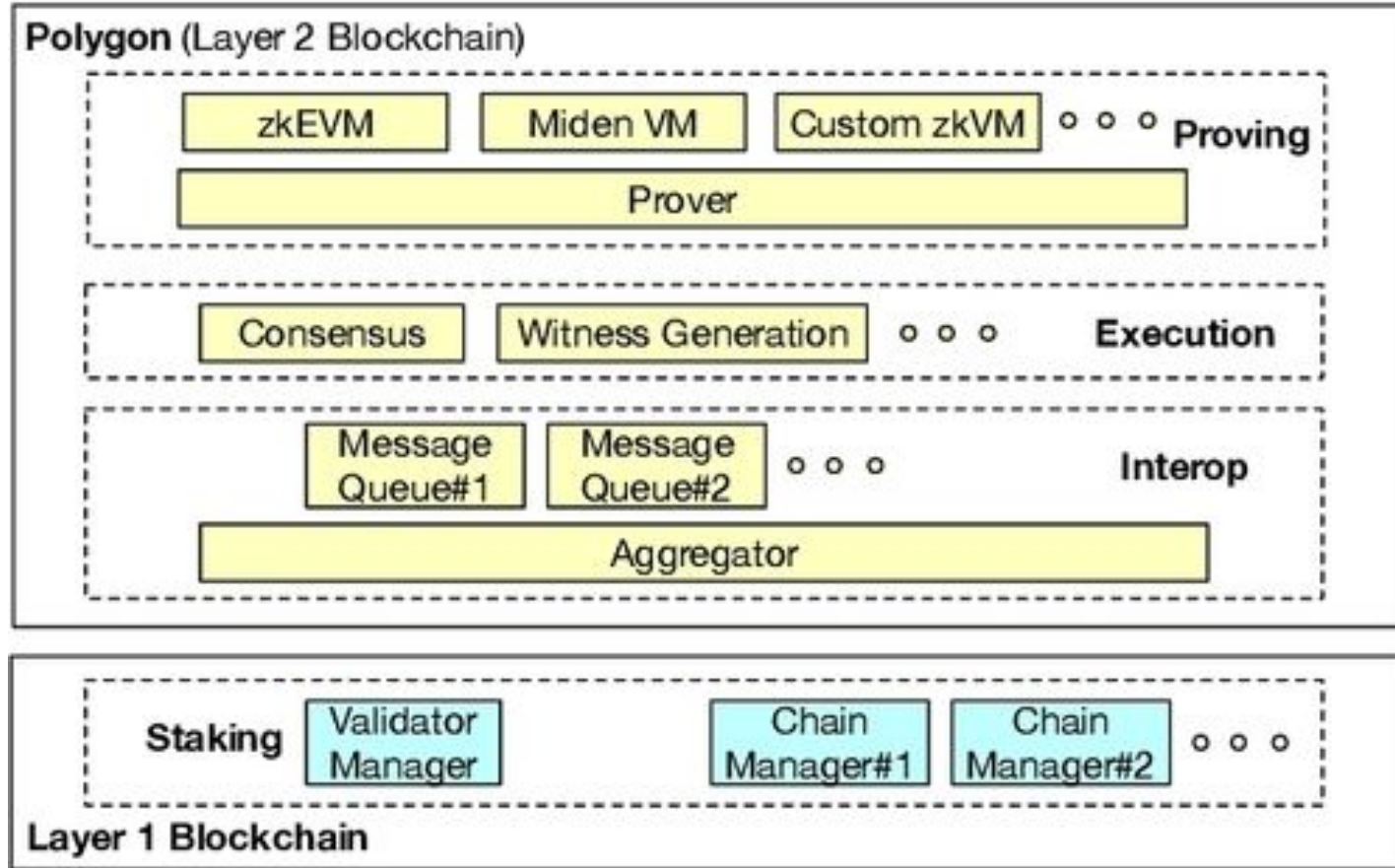


1. Layer-2 Scaling Solutions - Polygon



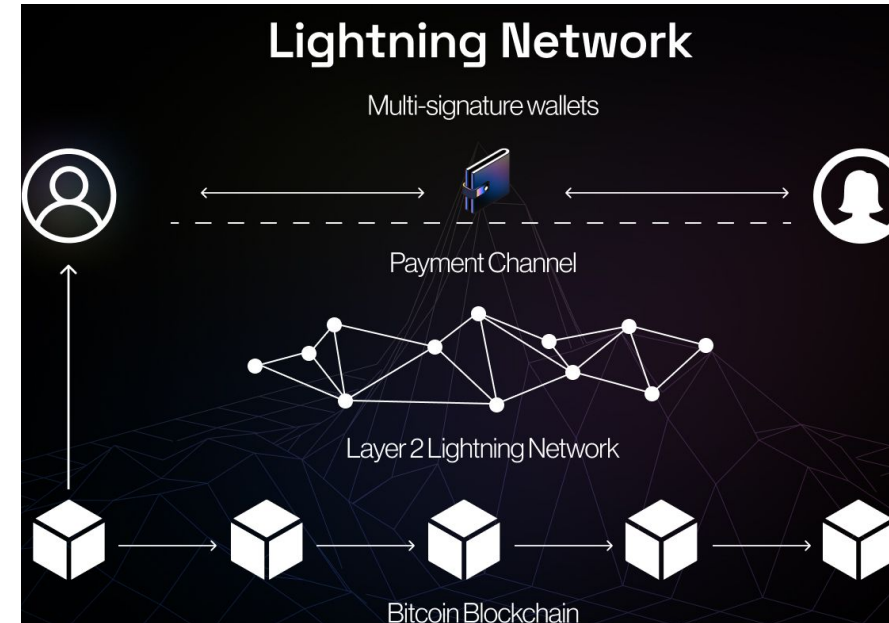
- Polygon (formerly Matic Network) functions as a high-performance sidechain for Ethereum.
- The network achieves speeds of up to 65,000 transactions per second (TPS).
- Users benefit from near-zero transaction fees compared to Ethereum Layer-1.
- Developers can migrate existing Ethereum DApps and projects without making code changes.
- It utilizes a Proof-of-Stake (PoS) consensus mechanism to secure the network.
- Polygon significantly reduces network congestion while maintaining compatibility with the Ethereum Virtual Machine (EVM).
- The platform serves as a critical scaling hub for DeFi, NFTs, and Web3 gaming.

1. Layer-2 Scaling Solutions - Polygon Protocol Architecture

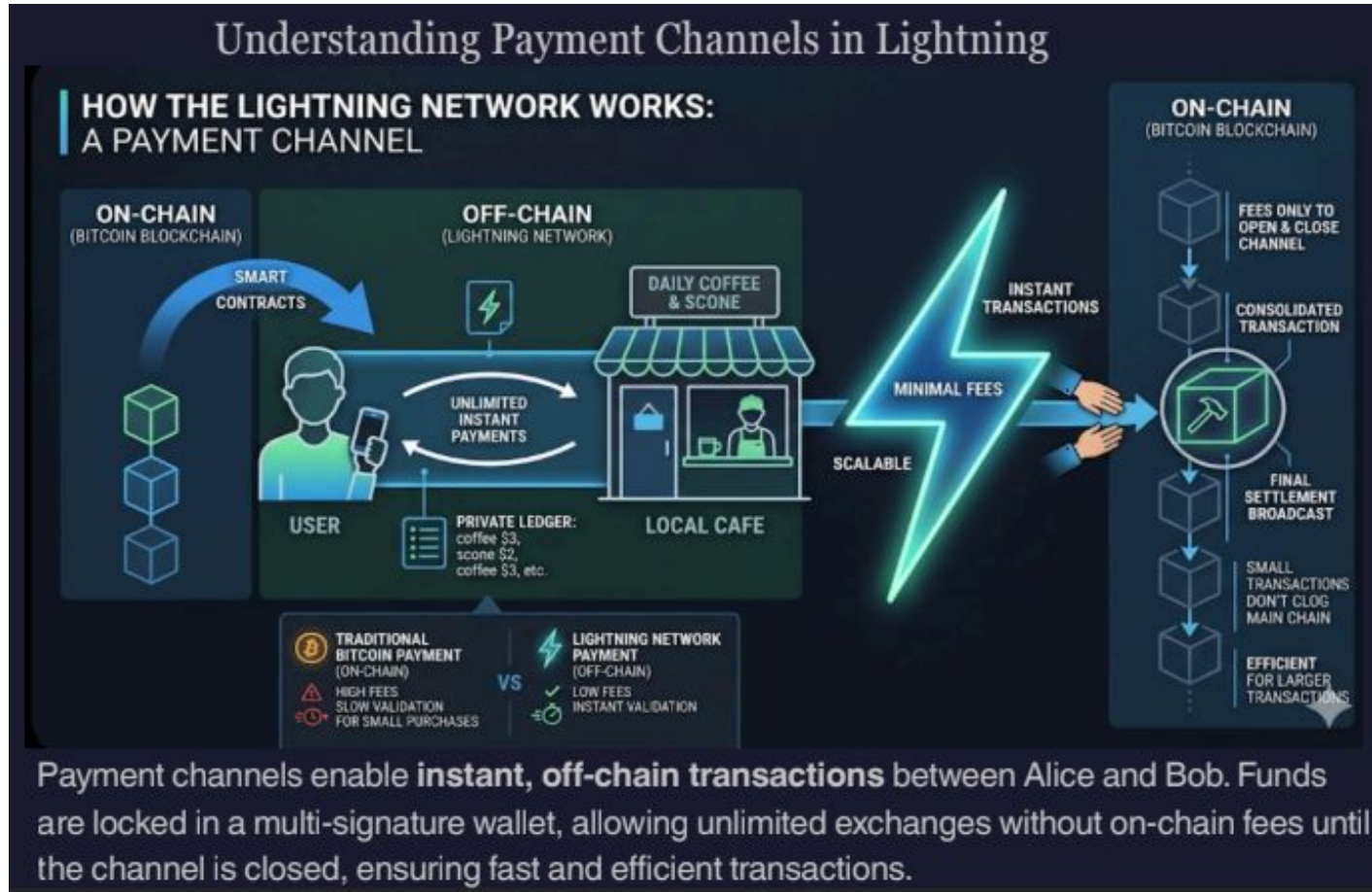


1. Layer-2 Scaling Solutions - Lightning Network in Bitcoin

- A Layer 2 protocol built on Bitcoin
- Enables off-chain transactions
- Designed for Instant payments, Low fees, Micropayments
- Not every transaction needs to be on blockchain.
- Only **Opening transaction & Closing transaction**
- All intermediate transactions → off-chain
- **Payment Channels**
 - Two users open a payment channel
 - Lock funds in a multi-signature wallet
 - Conduct unlimited transactions off-chain
 - Final balance is recorded on Bitcoin blockchain



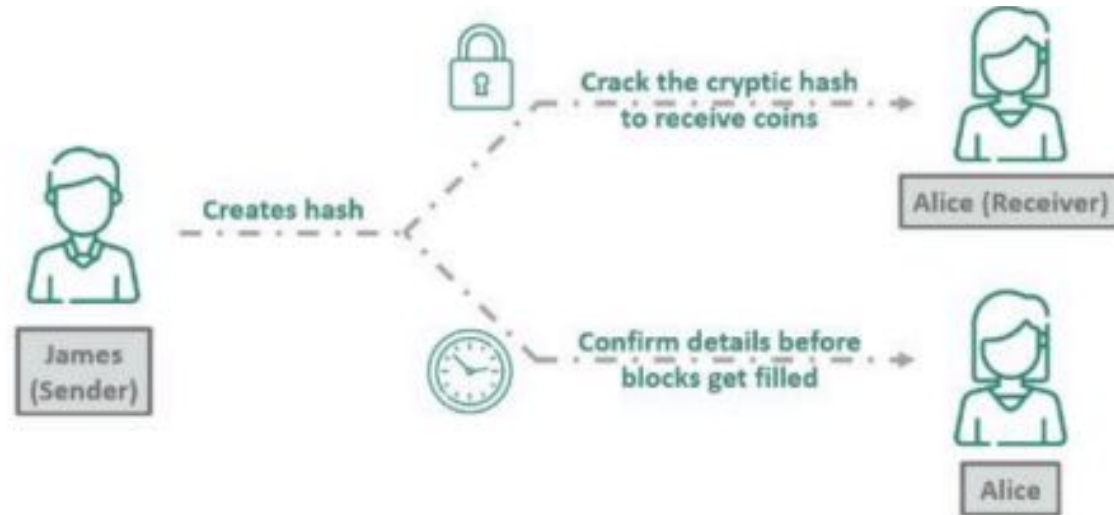
1. Layer-2 Scaling Solutions - Lightning Network in Bitcoin



1. Layer-2 Scaling Solutions - Lightning Network in Bitcoin

Routing Payments in Lightning Network

- Routes payments using intermediate channels, ensuring secure and instant transactions.
- By leveraging **Hash Time-Locked Contracts**, it optimizes pathfinding and enables trustless payments across multiple nodes.
- Smart contract mechanism enabling trustless payments
- HTLC Ensures:
 - Payment only if conditions met
 - Refund if timeout occurs



1. Layer-2 Scaling Solutions - Lightning Network in Bitcoin

Understanding Optimistic Rollups

- Multiple transactions are bundled into a single batch to be processed off-chain.
- Security is maintained by using fraud proofs to challenge invalid transactions.
- The system assumes transactions are valid by default to increase processing speed.
- High-volume batching significantly reduces individual gas fees for users.
- All data is posted back to the main Ethereum chain to ensure robust security standards.
- The architecture provides a high-performance environment ideal for complex DeFi applications.
- A dispute window allows the network to roll back any malicious activity before finality.

1. Layer-2 Scaling Solutions - Optimistic Rollups

Step by step working

Step 1 : Transaction Submission

- Users send transactions to Layer 2 network

Step 2 : Off-chain Execution

- Transactions processed by rollup nodes

Step 3: Batch Formation

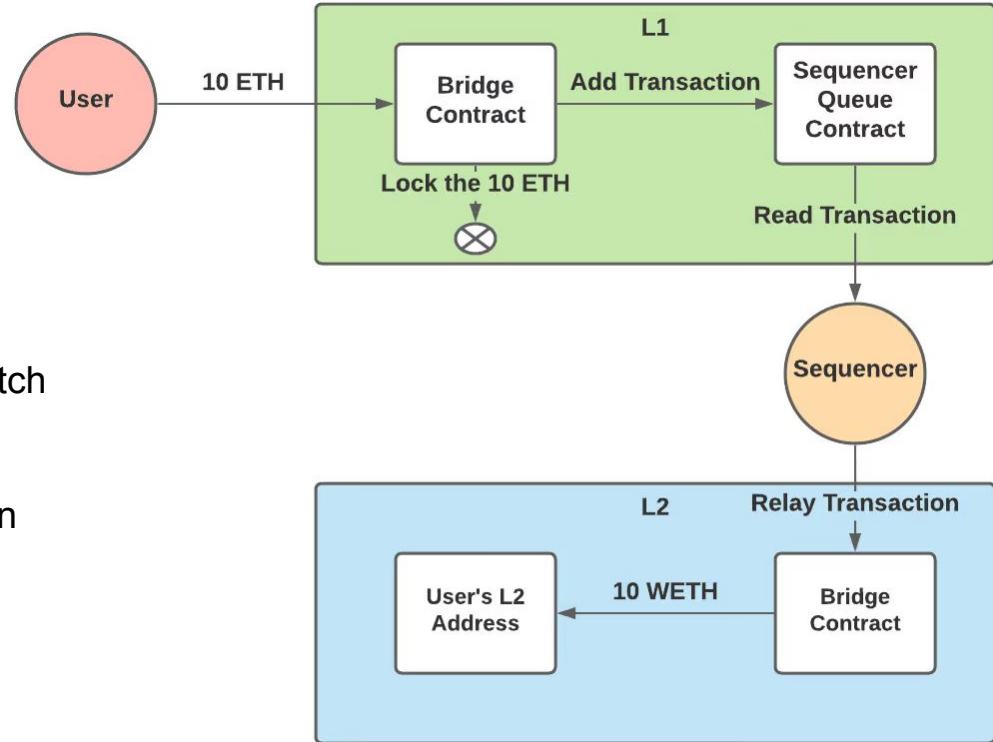
- Multiple transactions grouped into a single batch

Step 4: Posting to Layer 1

- Batch data + state root submitted to blockchain

Step 5. Challenge Period

- Anyone can challenge incorrect transactions



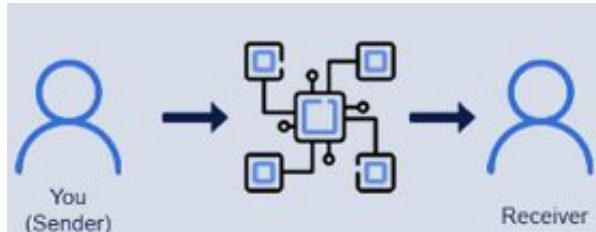
2. Decentralized Finance (DeFi)

- DeFi = Financial services built on blockchain
- Eliminates intermediaries (banks, brokers)
- Open, transparent, and permissionless
- Primarily built on Ethereum
- Key Characteristics of DeFi
 - Decentralization
 - Transparency
 - Immutability
 - Accessibility (global participation)
 - Programmability (via smart contracts)



2. Decentralized Finance (DeFi)

Feature	DeFi	Traditional Finance
Control	User	Institution
Transparency	High	Low
Accessibility	Global	Limited
Speed	Fast	Slower



DeFi



Traditional Finance

2. DeFi EcoSystem and Protocols

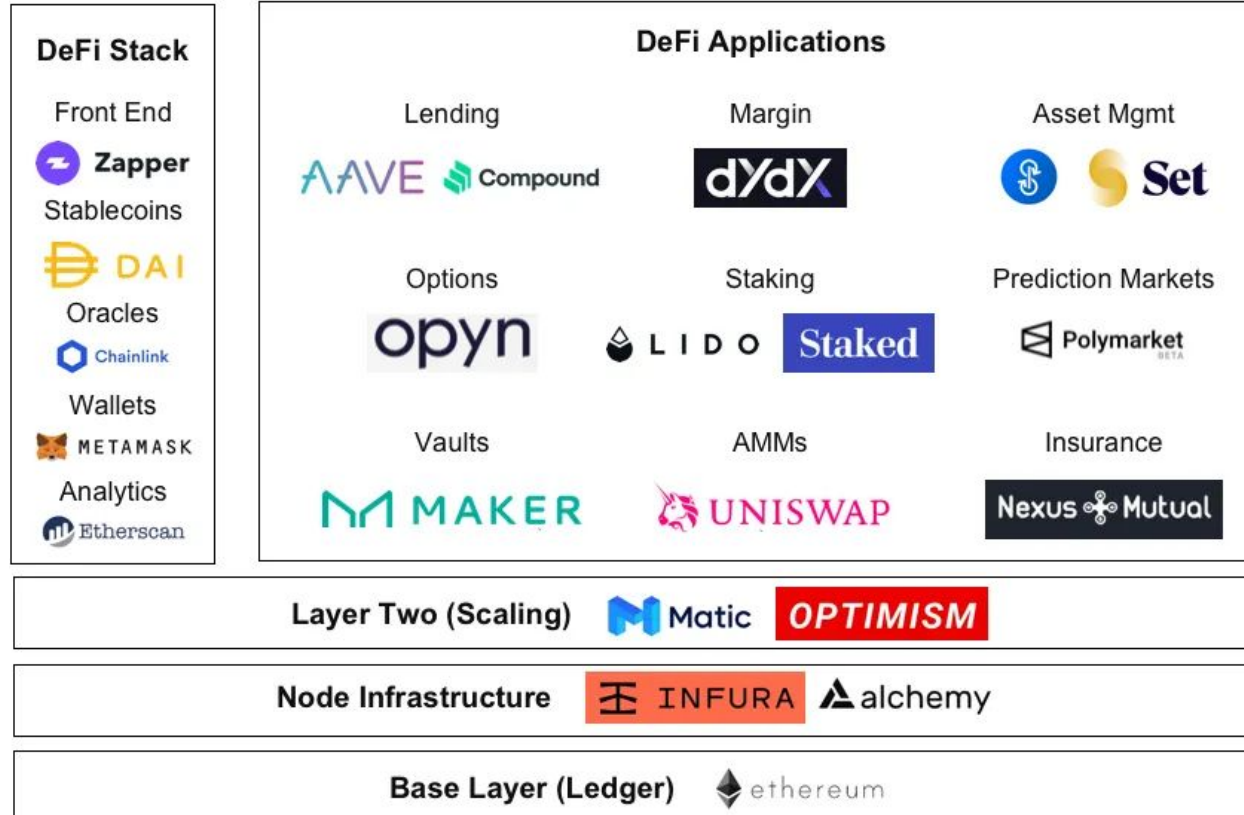
- DeFi = Decentralized Financial Ecosystem built on blockchain
- Eliminates intermediaries like banks
- Uses:
 - Smart Contracts
 - Cryptocurrencies
 - Decentralized Applications (DApps)
- Objective: Open, transparent, and permissionless finance
- Components of DeFi Ecosystem
 - Blockchain Platforms (Ethereum, etc.)
 - Smart Contracts
 - Tokens (ERC-20, NFTs)
 - Decentralized Applications (DApps)
 - Protocols providing financial services

Major DeFi Protocol types:

1. On-chain Asset Exchange
2. Lending & Borrowing
(Loanable Funds)
3. Stablecoins
4. Portfolio Management
5. Derivatives
6. Privacy Solutions

2. DeFi EcoSystem and Protocols

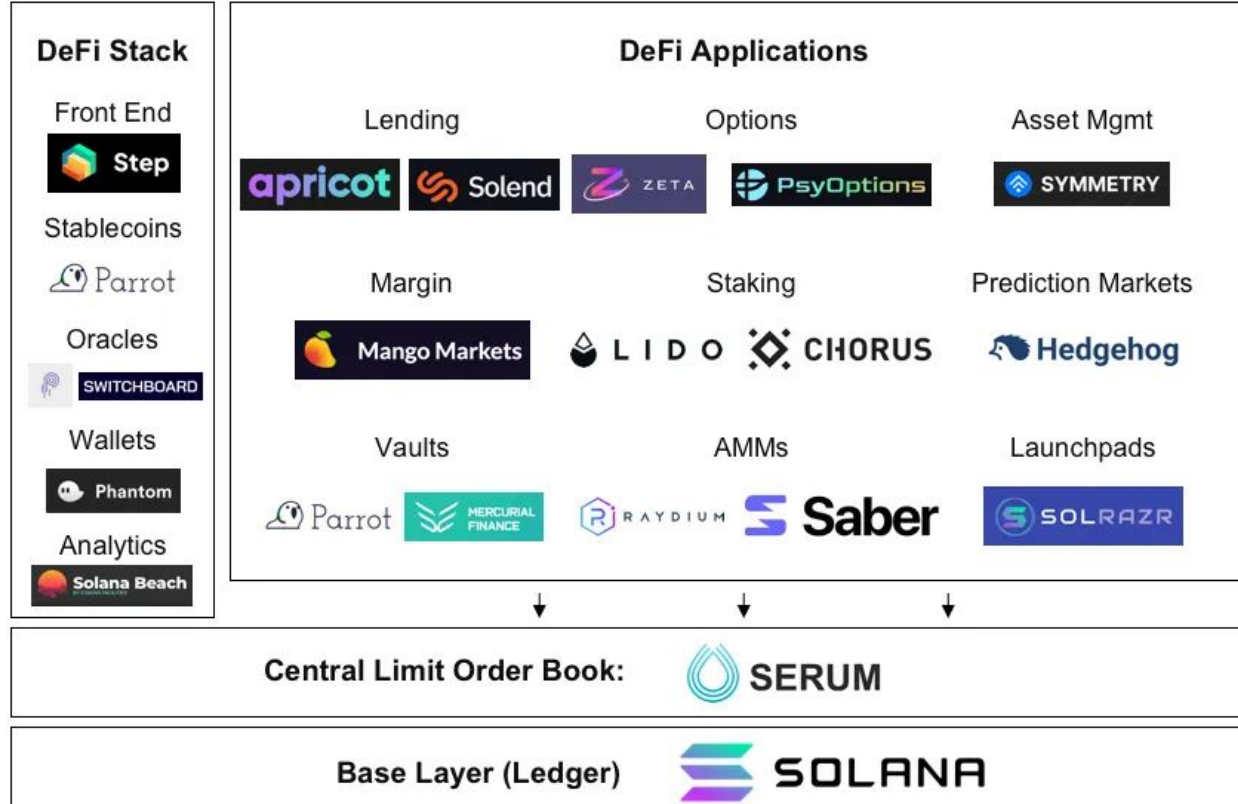
Ethereum DeFi Ecosystem



Courtesy : [Medium](https://medium.com)

2. DeFi EcoSystem and Protocols

Solana DeFi Ecosystem

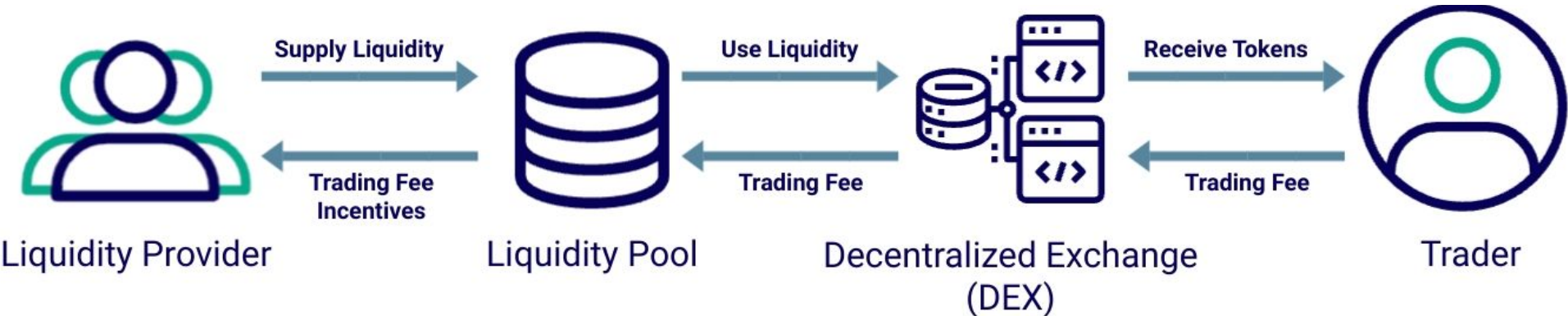


The DeFi Ecosystem - How Liquidity Pools Work?

- Pair of assets locked in smart contracts
- Automated Market Maker (AMM) model
- Prices set algorithmically

User – Liquidity Provider Flow

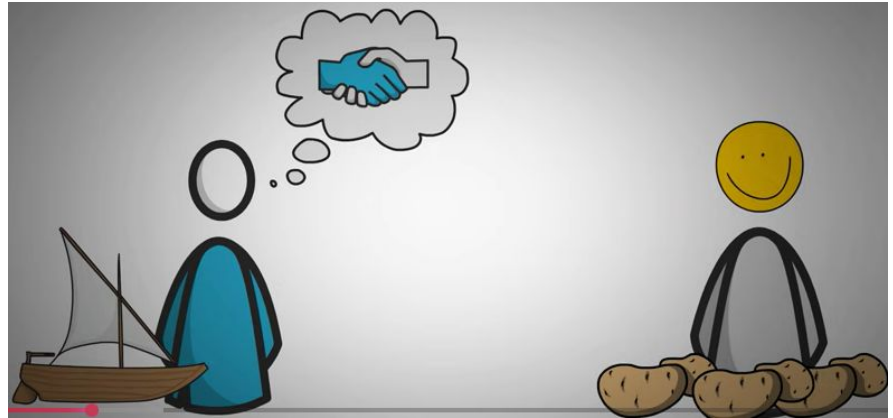
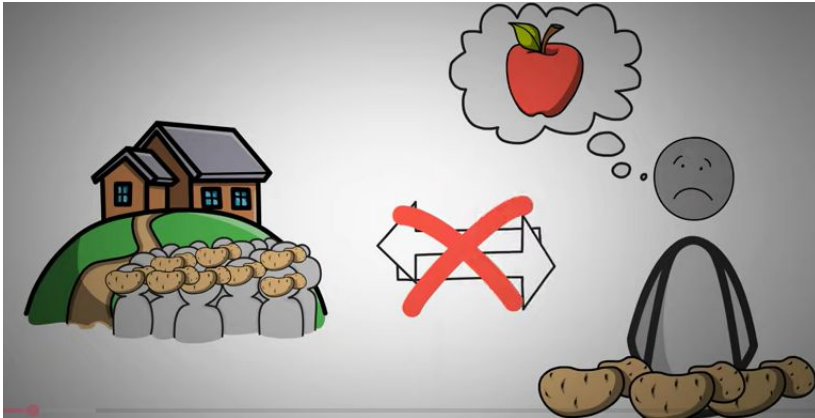
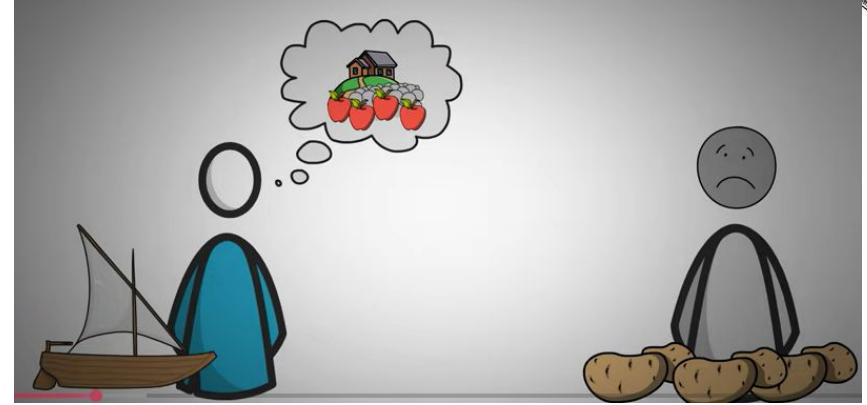
1. LP deposits Token A & B
2. Pool enables swaps
3. User pays fee
4. LP earns fee share



Courtesy :

- [DeFi - The Future of Finance. Campbell et. al](#)
- [Techslang](#)

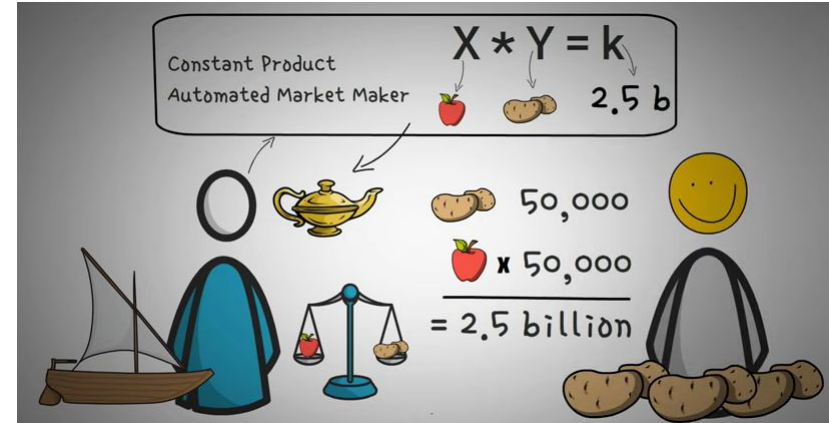
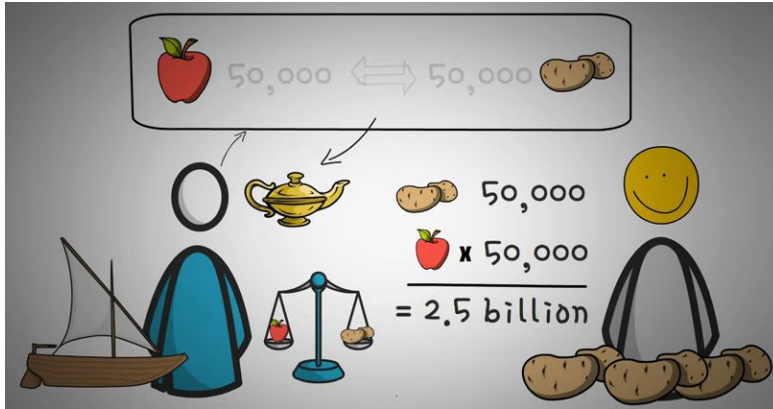
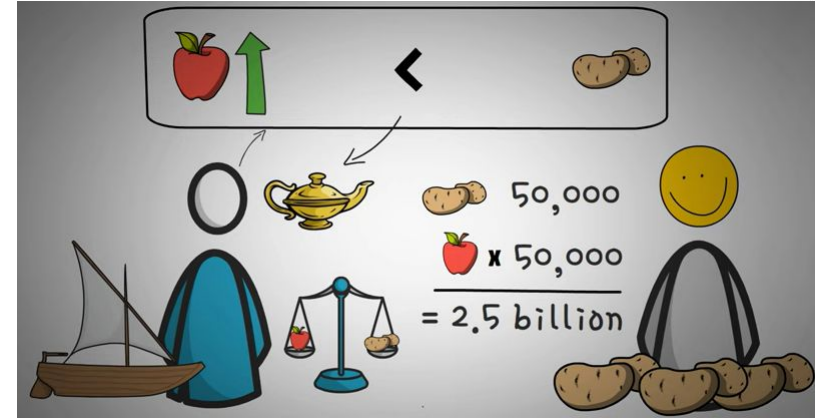
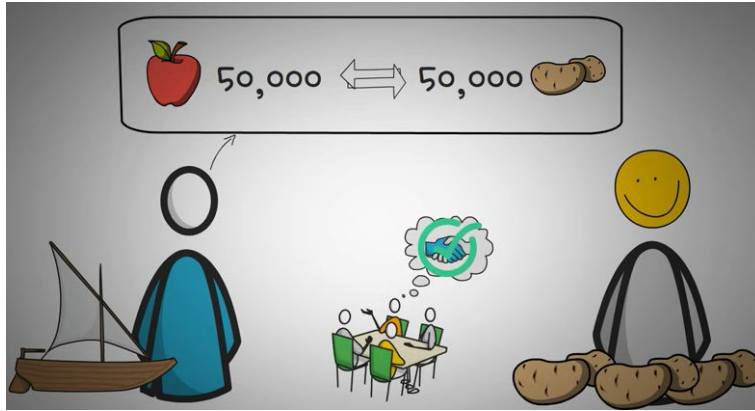
The DeFi Ecosystem - AMM Liquidity Pool



Courtesy :

- [DeFi - The Future of Finance. Campbell et. al](#)
- [YouTube video : AMM Model](#)

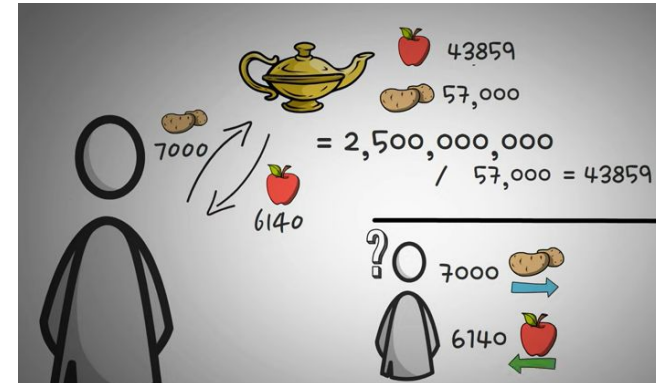
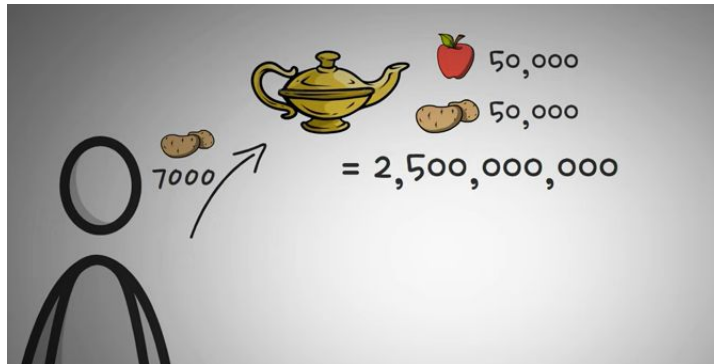
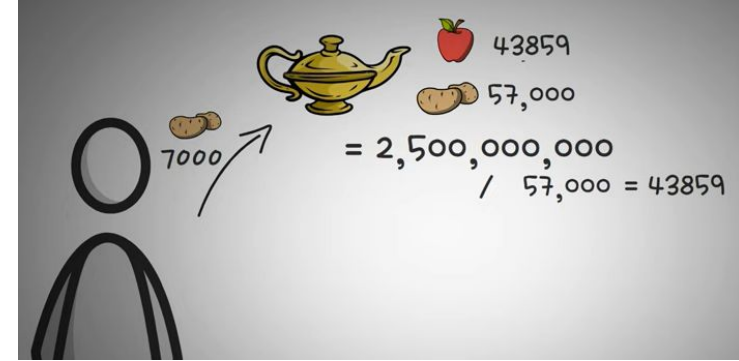
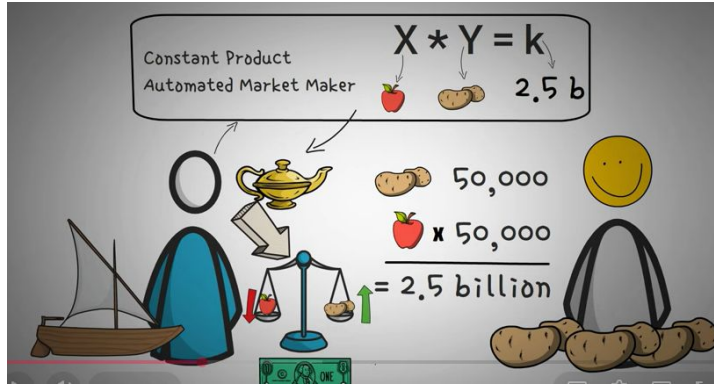
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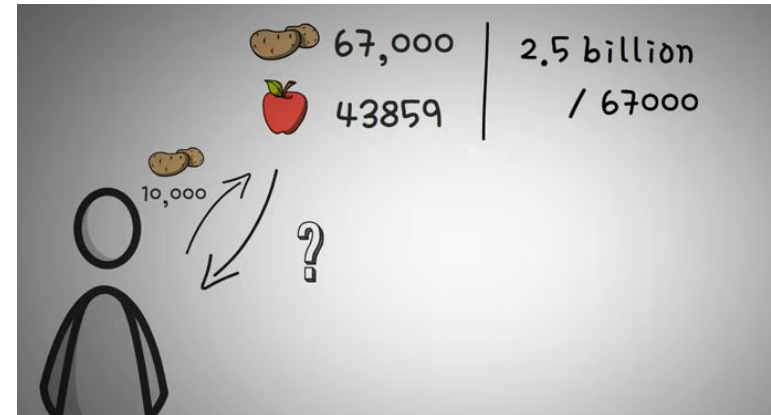
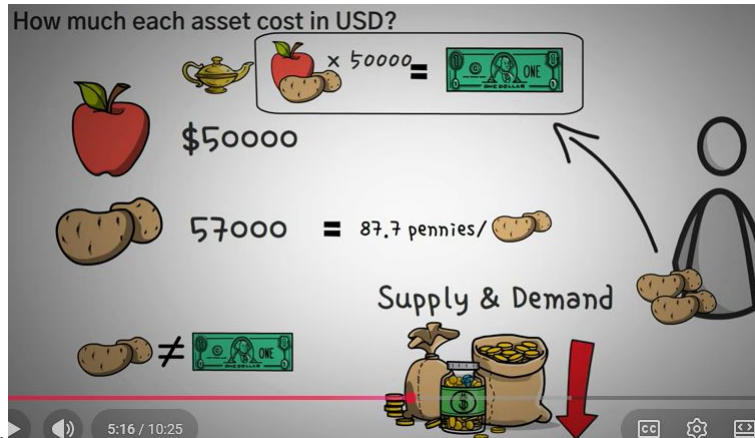
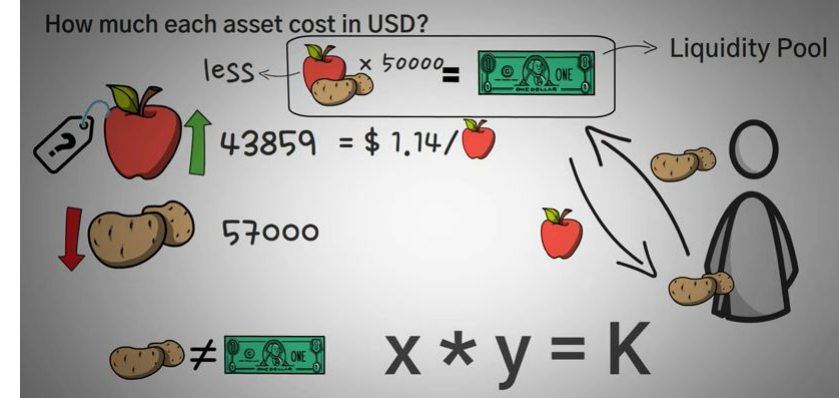
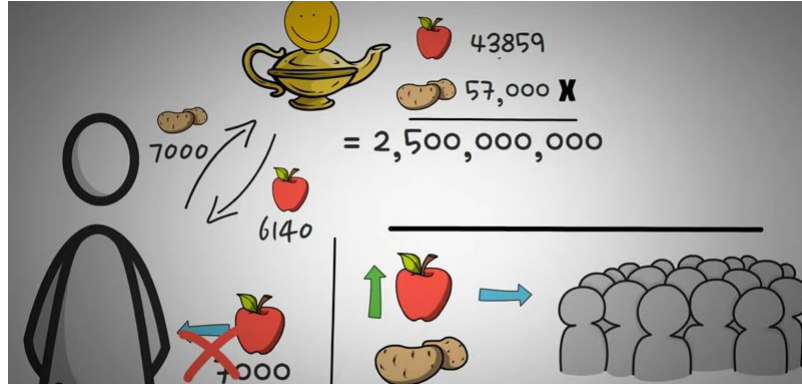
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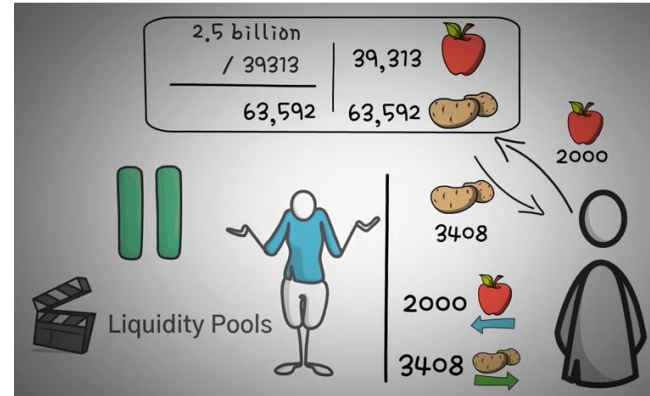
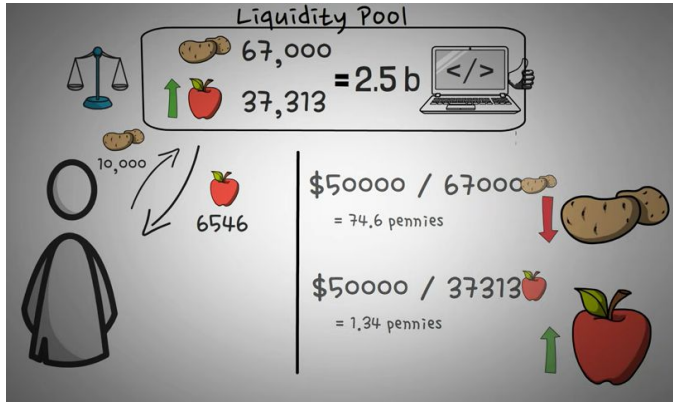
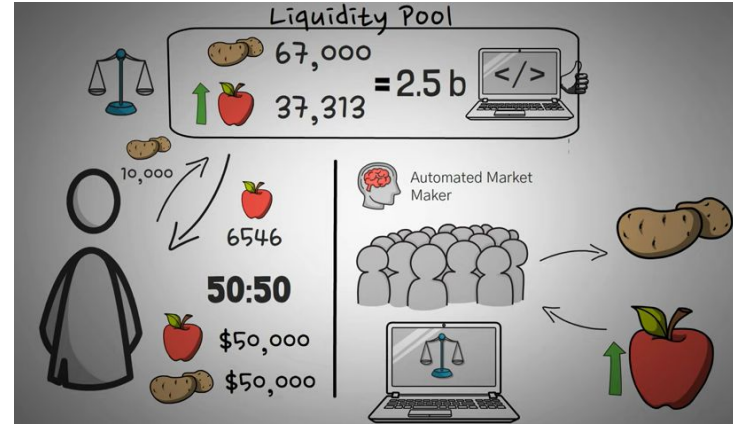
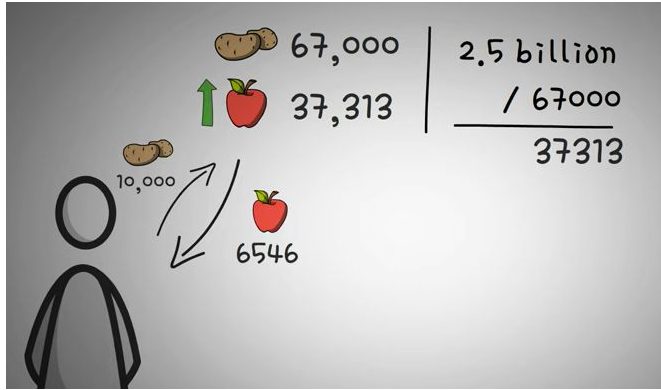
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The DeFi Ecosystem - AMM Liquidity Pool



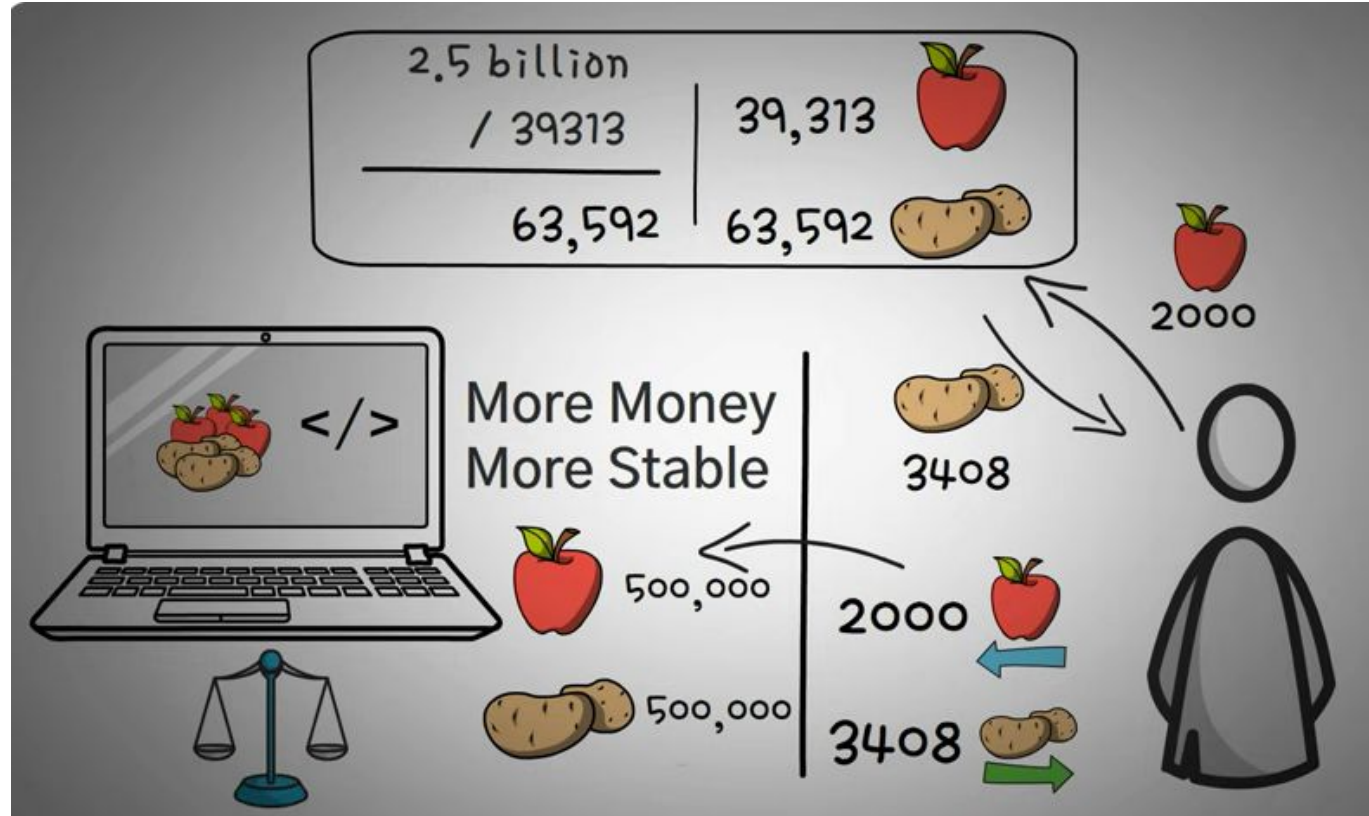
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The DeFi Ecosystem - AMM Liquidity Pool



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Trading Fees

- Pool fee: 0.3%
- User swaps ₹10,000 worth tokens
- Fee collected: ₹30
- Fee distributed to LPs proportionally

Liquidity Provider Earnings

- Total pool liquidity: ₹10,00,000
- LP contribution: ₹1,00,000 (10%)
- Daily fees collected: ₹5,000
- LP earns: ₹500 per day

The DeFi Ecosystem - Users Vs Liquidity Providers

Aspect	Users	Liquidity Providers
Role	Consume liquidity	Provide liquidity
Income	Trading profits / borrowed funds	Fees + rewards
Capital Required	Low to medium	High
Risk Type	Slippage, liquidation	Impermanent loss
Example Protocol	Uniswap, Aave	Uniswap LP, Curve LP

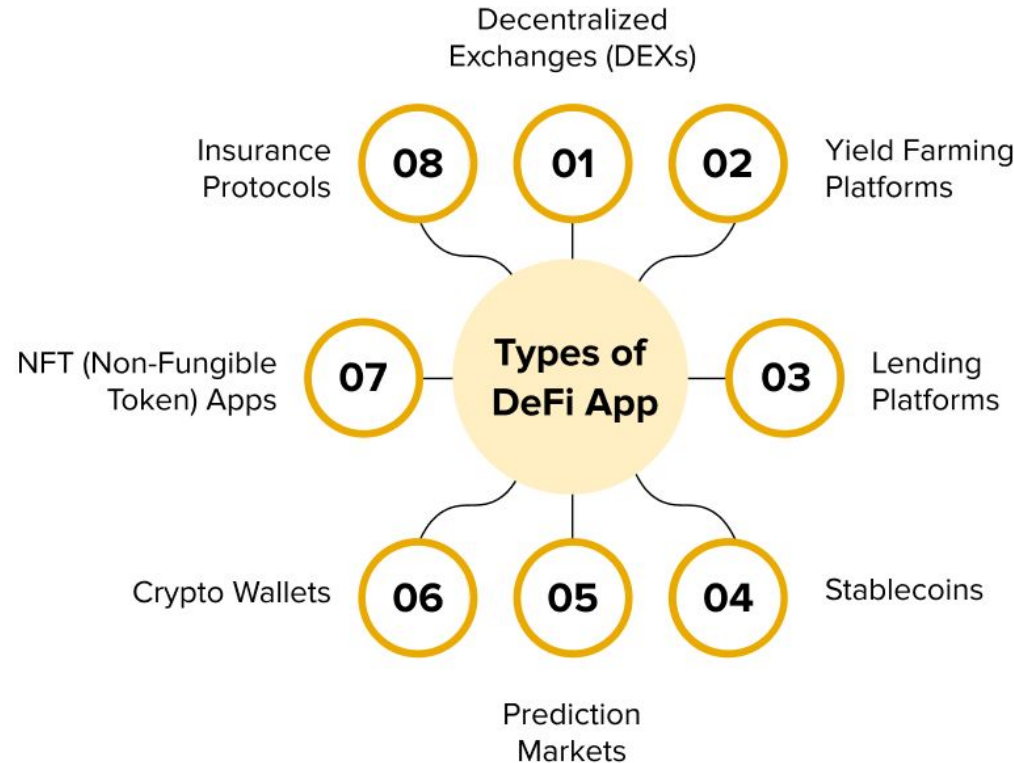
2. Decentralized Finance (DeFi)

What are DeFi Protocols?

- Set of rules governing DeFi applications
- Automated via smart contracts
- Enable financial services like lending, trading

Types of DeFi Protocols

- Lending Protocols
- Decentralized Exchanges (DEXs)
- Derivatives Platforms
- Stablecoin Protocols
- Yield Farming Platforms



2. Decentralized Finance (DeFi) Protocols

1. Lending & Borrowing Protocols

- Users lend assets to earn interest
- Borrowers provide collateral
- Ex: Aave / Compound

2. Decentralized Exchanges (DEXs)

- Peer-to-peer crypto trading
- No centralized authority
- Automated Market Makers (AMMs)
- Ex: Uniswap / SushiSwap

3. Stablecoin Protocols

- Maintain price stability
- Pegged to fiat (e.g., USD)
- Ex : DAI
- Governed by MakerDAO

4. Yield Farming & Liquidity Mining

- Earn rewards by providing liquidity
- Incentives in tokens
- High returns but high risk

2. Decentralized Finance (DeFi)

DeFi Platforms

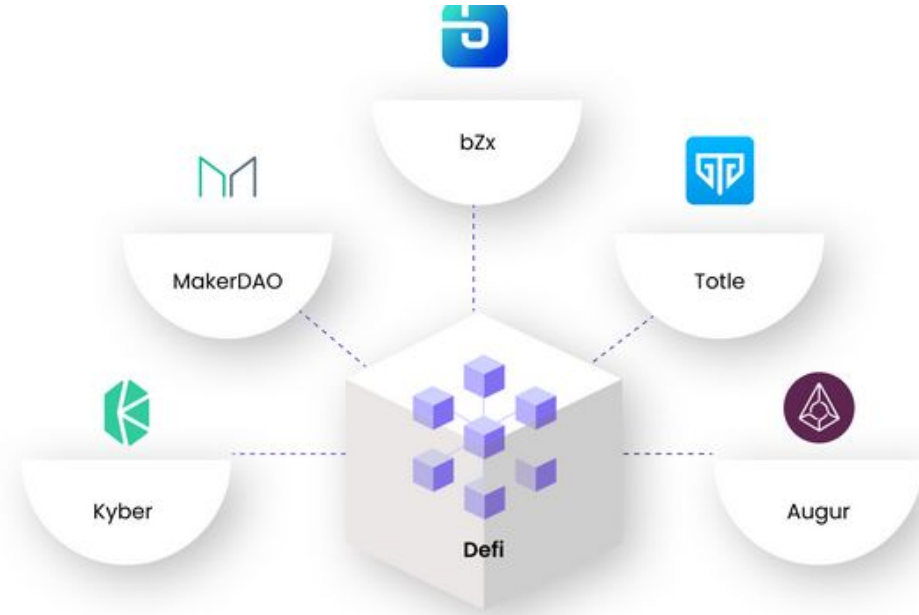
- Applications built on protocols
- User-friendly interfaces
- Ex : Curve Finance / Balancer

Applications of DeFi

- Lending & Borrowing
- Trading & Exchanges
- Insurance
- Asset Management
- Payments & Remittances

DeFi Use Case Example

- Borrowing stablecoins using crypto collateral
- Yield earning via staking
- Cross-border payments without banks



The DeFi Ecosystem - User & Liquidity Providers

DeFi Users

- Retail users
- Institutional users
- Developers & builders
- Arbitrageurs & traders

Role of DeFi Users

- Trading assets
- Lending & borrowing
- Yield farming
- Governance participation

DeFi Liquidity Providers

- Users who supply assets to liquidity pools
- Enable trading without order books
- Earn rewards and fees

Role of Liquidity Providers (LPs)

- Enables smooth trading
- Reduces price slippage
- Ensures protocol stability

2. Decentralized Finance (DeFi)

Advantages of DeFi

- Financial inclusion
- Lower costs
- Transparency
- Control over assets
- Innovation & interoperability

Challenges in DeFi

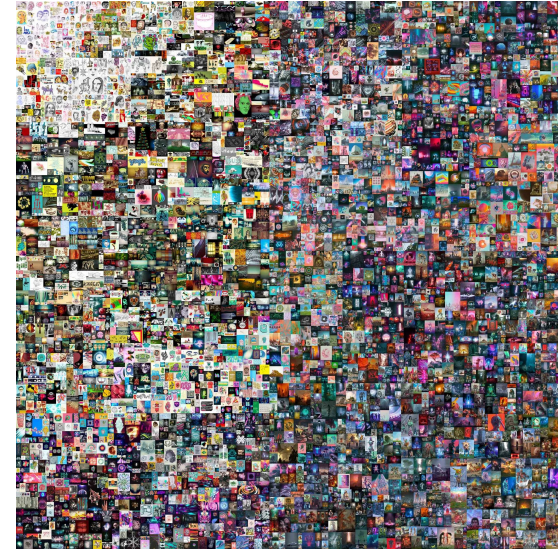
- Smart contract vulnerabilities
- Regulatory uncertainty
- Scalability issues
- Market volatility
- User experience complexity

Risks in DeFi

- Rug pulls
- Flash loan attacks
- Impermanent loss
- Liquidity risks

3. Non-Fungible Tokens (NFTs)

- NFTs = Unique digital assets on blockchain
- Represent ownership of digital or physical items
- Unlike cryptocurrencies, NFTs are non-fungible (unique)
- Built mainly on Ethereum
- Key Characteristics of NFTs
 - Uniqueness
 - Indivisibility
 - Ownership verification
 - Transparency
 - Scarcity



First NFT artwork at auction sells for staggering \$69 million

3. Non-Fungible Tokens (NFTs)

NFT Standards

- Define how NFTs are created and managed
- Ensure interoperability across platforms
- Major Standards:
 - ERC-721 – First NFT standard
 - ERC-1155 – Multi-token standard

NFT Metadata

- Contains asset information
- Includes: [Name, Description, Image/Media link](#)
- Often stored using IPFS

1. ERC-721 Standard

- One token = one unique asset
- Widely used for digital art & collectibles
- Enables ownership tracking

2. ERC-1155 Standard

- Supports multiple token types
- Fungible + Non-fungible in one contract
- More efficient and scalable

3. Non-Fungible Tokens (NFTs)

NFT Creation Process (Minting)

Step 1: Create digital asset

Step 2: Upload to NFT platform

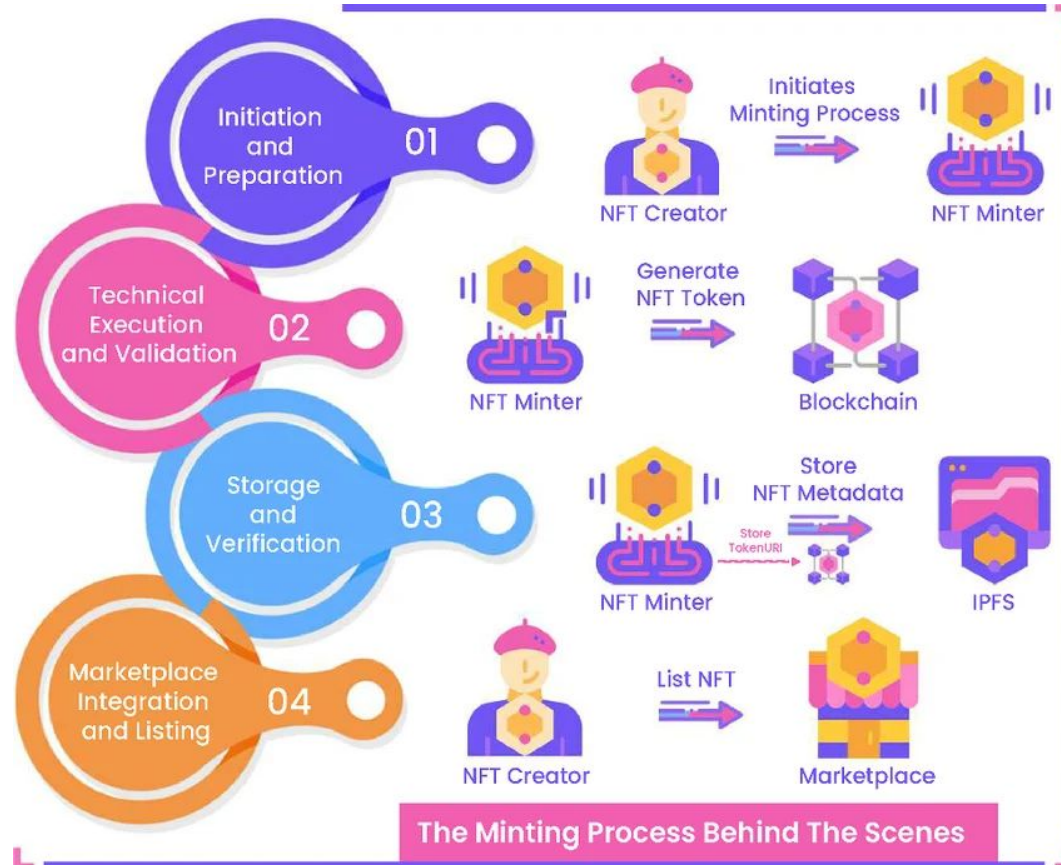
Step 3: Mint NFT using smart contract

Step 4: Pay gas fees

Step 5: NFT stored on blockchain

Tools for NFT Creation

- Wallets: MetaMask
- Platforms: OpenSea / Rarible / Foundation



3. Non-Fungible Tokens (NFTs)

Smart Contracts in NFTs

- Define ownership and transfer rules
- Automate royalties for creators
- Enable trustless transactions

NFT Marketplaces

- Platforms to buy, sell, trade NFTs
- Provide liquidity and exposure
- Ex: OpenSea / Blur / SuperRare



Marketplace Integration

- Connect wallet to marketplace
- List NFT for sale
- Smart contract handles transactions
- Payment via cryptocurrencies (e.g., Ether)

3. Non-Fungible Tokens (NFTs)

Advantages of NFTs

- Proof of ownership
- Creator royalties
- Global marketplace access
- Transparency

Challenges of NFTs

- High gas fees
- Environmental concerns
- Copyright issues
- Market volatility

Risks in NFT Ecosystem

- Scams & fake NFTs
- Smart contract bugs
- Illiquidity
- Speculative bubbles

3. Non-Fungible Tokens (NFTs)

Feature	NFTs (Non-Fungible Tokens)	Fungible Tokens	Traditional Assets
Definition	Unique digital assets on blockchain	Interchangeable digital assets	Physical or financial assets
Example	Digital art, collectibles	Bitcoin, Ether	Cash, gold, real estate, stocks
Interchangeability	Not interchangeable	Fully interchangeable	Depends on asset type
Uniqueness	Each token is unique	All tokens are identical	Some unique (art), some identical (cash)
Divisibility	Generally indivisible	Highly divisible	Varies (cash divisible, land not easily)
Ownership Proof	Verified via blockchain	Verified via blockchain	Legal documents/certificates
Transparency	High (public ledger)	High (public ledger)	Limited
Liquidity	Low to medium	High	Medium (varies widely)

3. Non-Fungible Tokens (NFTs)

Feature	NFTs (Non-Fungible Tokens)	Fungible Tokens	Traditional Assets
Transfer Speed	Fast (blockchain-based)	Fast	Slower (depends on intermediaries)
Intermediaries	Not required	Not required	Usually required (banks, brokers)
Programmability	Yes (smart contracts)	Yes	Limited
Use Cases	Art, gaming, collectibles, identity	Payments, trading, DeFi	Investment, trade, ownership
Market Accessibility	Global	Global	Often restricted by geography/regulation
Regulation	Emerging	Evolving	Well-established
Risk Factors	Illiquidity, scams, volatility	Volatility, regulation	Market risk, legal issues

4. Blockchain Interoperability

- Blockchain ecosystems are fragmented
- Different networks operate independently
- Ability of different blockchains to: Share data / Transfer assets / Communicate seamlessly
- Goal: Create a connected blockchain ecosystem

Relevance of Blockchain Interoperability

- Eliminates silos between blockchains
- Enhances scalability and usability
- Enables cross-chain applications
- Improves liquidity across ecosystems

Current Problem (Without Interoperability)

- Isolated networks like: Ethereum / Bitcoin
- No direct communication
- Limited asset transfer

4. Blockchain Interoperability - Types

Feature	Cross-Chain Communication	Cross-Chain Asset Transfer	Cross-Chain Smart Contracts
Definition	Exchange of data/messages between blockchains	Transfer of tokens/assets across blockchains	Execution of smart contracts across multiple blockchains
Primary Purpose	Enable chains to share information	Move value between networks	Enable complex cross-chain logic and automation
Focus	Data interoperability	Asset interoperability	Functional interoperability
What is Transferred	Messages, data, state information	Tokens, cryptocurrencies, NFTs	Instructions, contract logic, data
Complexity	Low to medium	Medium	High
Dependency	Requires messaging protocols	Requires bridges or wrapped tokens	Requires advanced protocols and coordination

4. Blockchain Interoperability - Types

Feature	Cross-Chain Communication	Cross-Chain Asset Transfer	Cross-Chain Smart Contracts
Examples	Chain messaging systems (e.g., IBC in Cosmos)	Token bridges, Wrapped tokens (e.g., wBTC)	Cross-chain dApps on Polkadot
Security Risks	Data inconsistency	Bridge hacks, asset locking risks	Smart contract vulnerabilities across chains
Use Cases	Data sharing, oracle updates	DeFi transfers, liquidity movement	Cross-chain DeFi, multi-chain dApps
Level of Interoperability	Basic	Intermediate	Advanced

4. Blockchain Interoperability - Approaches

1. Blockchain Bridges

- Connect two different blockchains
- Lock assets on one chain, mint on another
- Ex: Polygon Bridge

2. Sidechains

- Independent blockchains connected to main chain
- Improve scalability
- Ex: Polygon

3. Oracles in Interoperability

- Provide external data to blockchains
- Enable cross-chain functionality
- Ex: Chainlink

4. Cross-Chain Protocols

- Enable direct communication between blockchains
- Ex: Polkadot / Cosmos

4. Blockchain Interoperability

Advantages

- Increased liquidity
- Better scalability
- Enhanced user experience
- Innovation across ecosystems

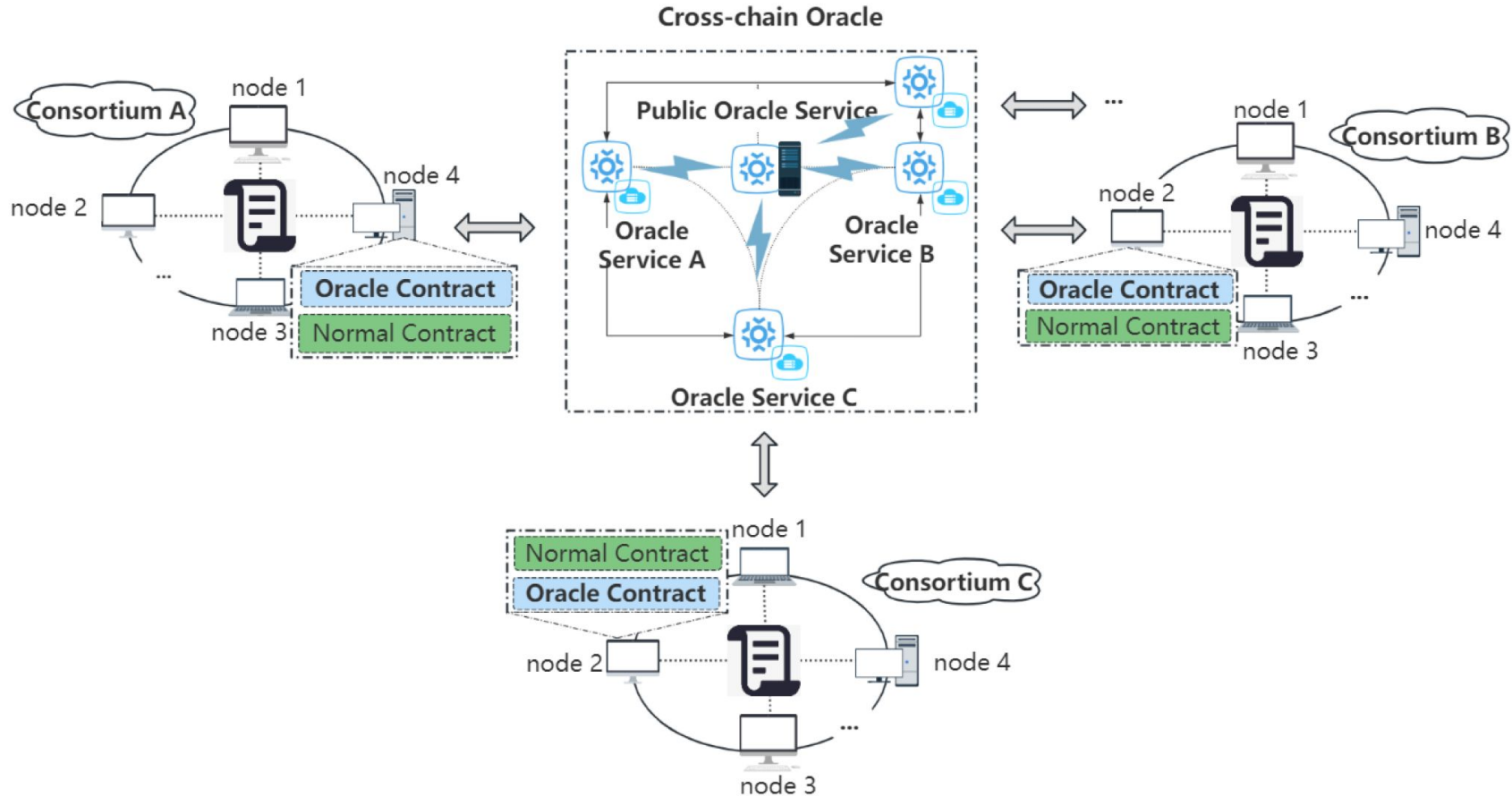
Challenges

- Security risks (bridge hacks)
- Complexity
- Standardization issues
- High transaction costs

Risks

- Smart contract vulnerabilities
- Centralized bridge control
- Network congestion
- Asset loss

4. Blockchain Interoperability: Cross-Chain Interaction approach(CCIO)



4. Blockchain Interoperability - Polkadot Achitecture

- Why Polkadot?

- Problem of **isolated blockchains**
- Scalability limitations of single-chain systems
- Need for secure cross-chain communication
- Solution: **Heterogeneous multi-chain framework**

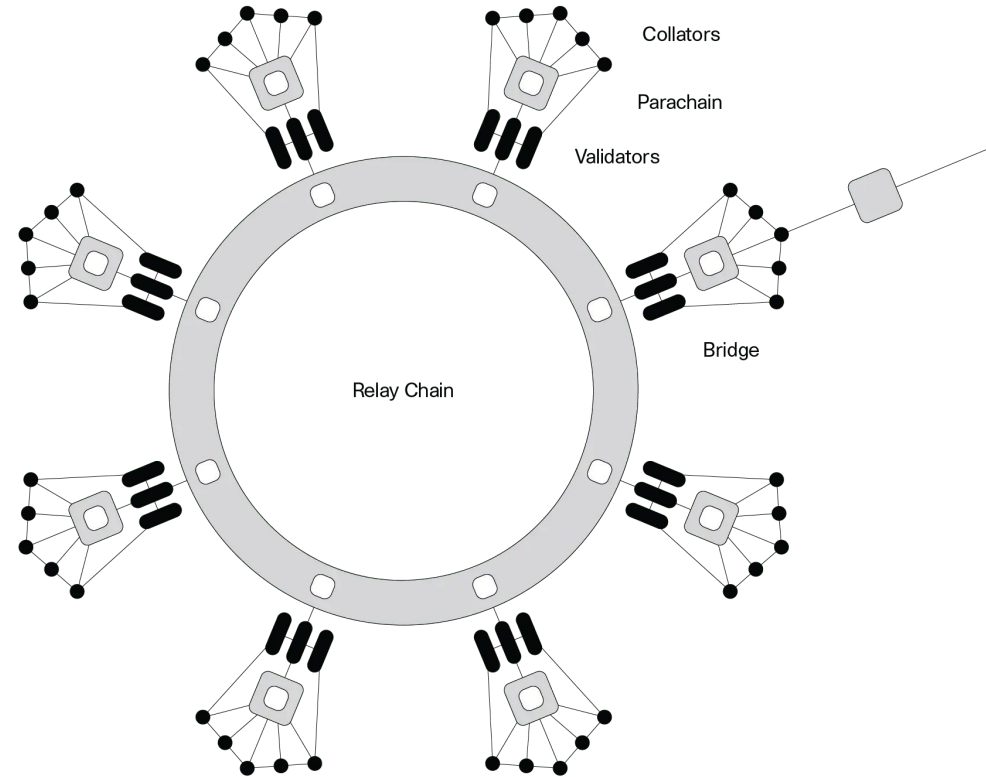


- Developed by Gavin Wood
- Enables **interoperability between different blockchains**
- Designed to improve scalability and security

4. Blockchain Interoperability - Polkadot Architecture

Key Architectural Components

1. Relay Chain
2. Parachains
3. Parathreads
4. Bridges
5. Network Roles :
 - a. Validators,
 - b. Collators,
 - c. Nominators,
 - d. Fishermen



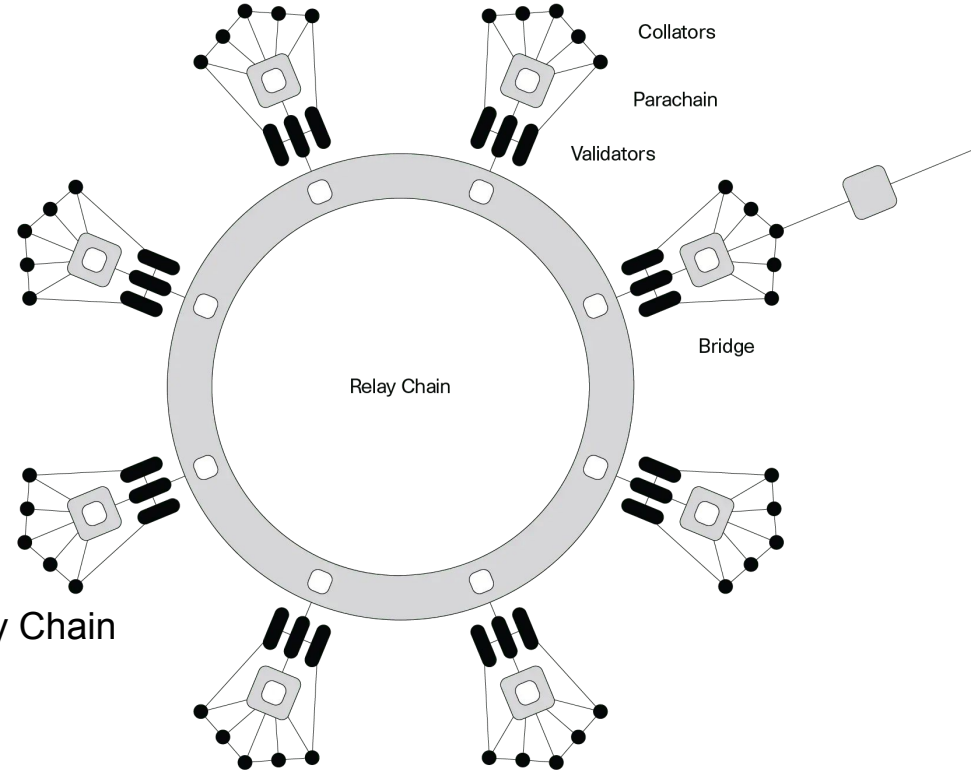
4. Blockchain Interoperability - Polkadot Architecture

1. Relay Chain

- [Core of Polkadot network](#)
- Responsible for
 - Consensus
 - Security
 - Cross-chain communication
- Minimal functionality for efficiency

2. Parachains

- [Independent blockchains](#) connected to Relay Chain
- Customizable for specific use cases
- [Run in parallel](#) → improves scalability
- Share security of Relay Chain



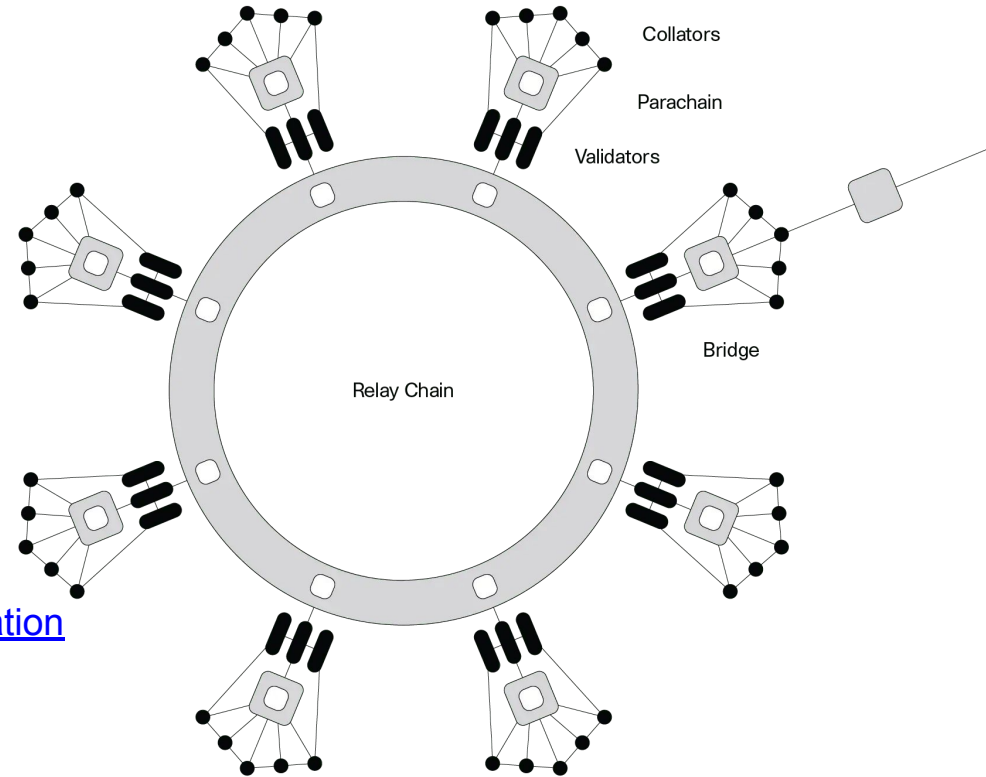
4. Blockchain Interoperability - Polkadot Architecture

3. Parathreads

- [Pay-as-you-go](#) model
- Suitable for smaller or infrequent use cases
- Same benefits as parachains but cost-efficient

4. Bridges

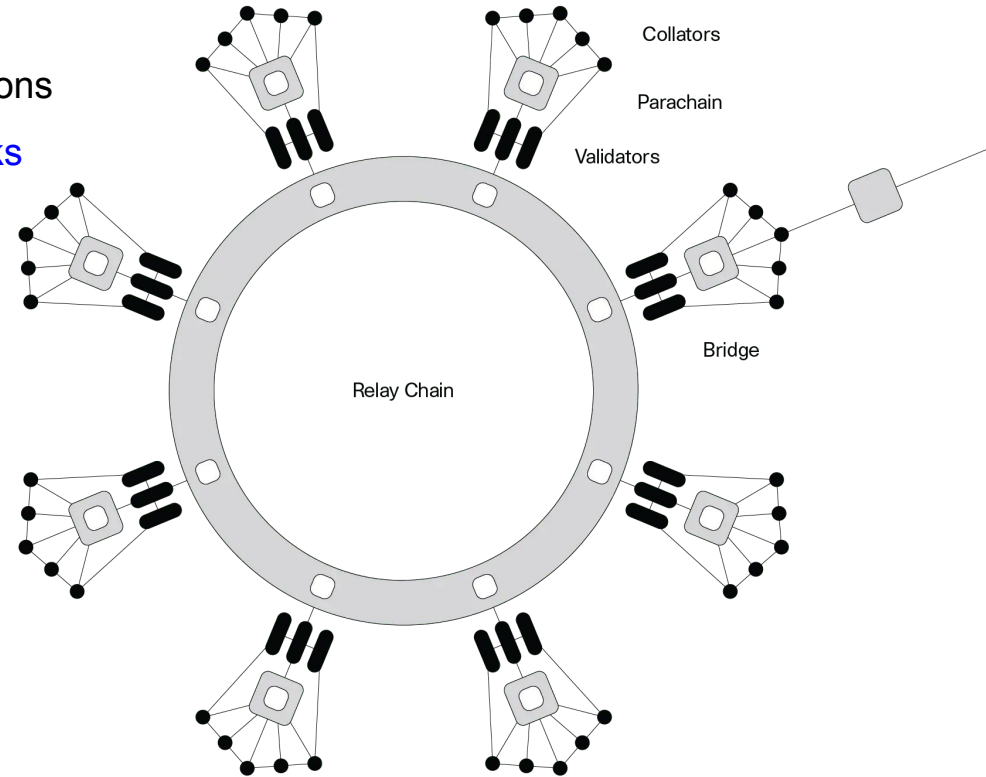
- [Connect Polkadot to external blockchains](#) like:
 - Ethereum
 - Bitcoin
- Enable [cross-chain asset transfer and communication](#)



4. Blockchain Interoperability - Polkadot Architecture

5. Polkadot Network Roles

- Validators : Secure network and validate transactions
- Collators : Maintain parachains and produce blocks
- Nominators : Select trustworthy validators
- Fishermen : Monitor malicious activities



4. Blockchain Interoperability - Polkadot Architecture

Consensus Mechanism

- Uses **Nominated Proof of Stake (NPoS)**
- Combines:
 - Validator selection
 - Network security
- Ensures decentralization and efficiency

Cross-Chain Communication

- Uses **XCMP (Cross-Chain Message Passing)**
- Allows parachains to interact directly
- Improves interoperability

Scalability in Polkadot

- **Parallel processing via parachains**
- **High throughput**
- **Reduced congestion**

Security Model

- Shared security across parachains
- **Relay Chain ensures unified protection**
- Reduces need for individual chain security

Governance in Polkadot

- On-chain governance
- **Token holders vote on upgrades**
- **No hard forks** required

4. Blockchain Interoperability - Polkadot Achitecture

Advantages of Polkadot Architecture

- Interoperability
- Scalability
- Flexibility
- Strong security model

Limitations / Challenges

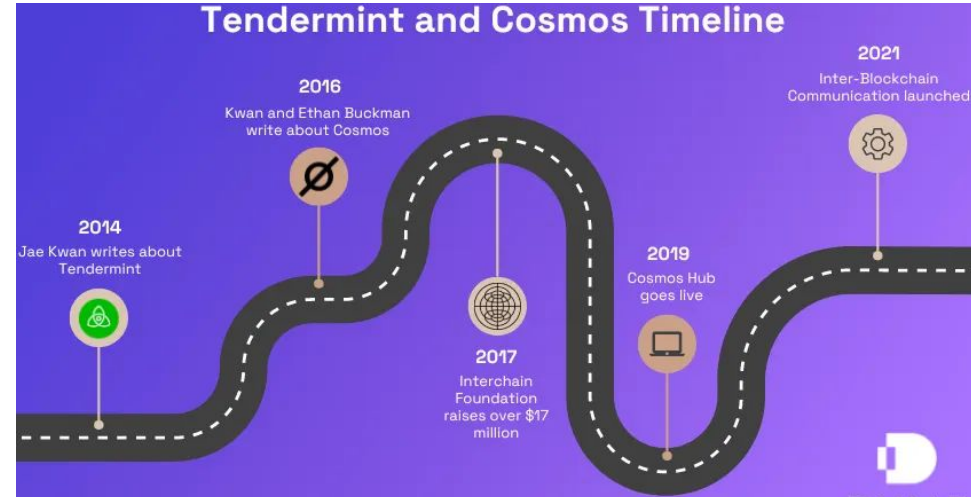
- Complexity in architecture
- High competition (e.g., Cosmos, Ethereum 2.0)
- Parachain slot auctions cost

Use Cases

- DeFi applications
- Cross-chain data sharing
- Supply chain systems
- Identity management

4. Blockchain Interoperability - Cosmos Architecture

- **Founded:** 2014 by Jae Kwon and Ethan Buchman
- **Mainnet launch:** 2019 (Cosmos Hub)
- **Consensus:** Tendermint BFT Proof-of-Stake
- **Native token:** ATOM
- **Market cap:** ≈ \$1.1 billion USD (Nov 2025)
- Ecosystem of interoperable blockchains
- Goal: Solve scalability and interoperability issues
- Known as the **“Internet of Blockchains”**



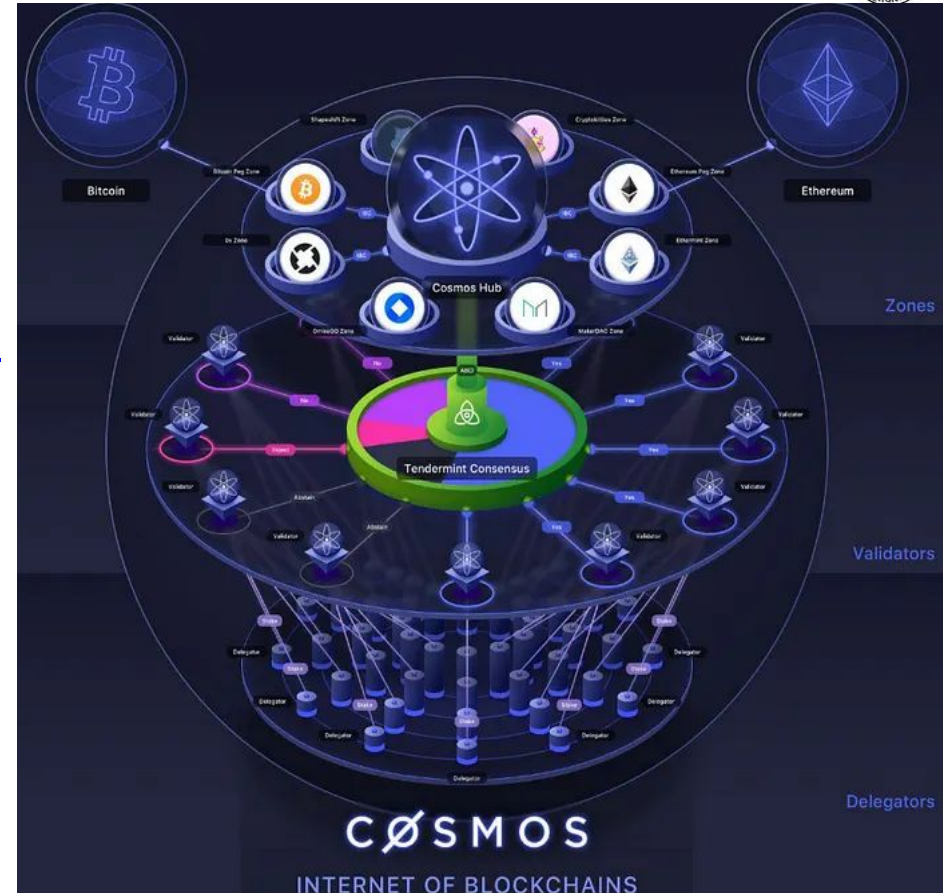
4. Blockchain Interoperability - Cosmos Architecture

Why Cosmos?

- Blockchain fragmentation problem
- Limited scalability in traditional networks
- Need for seamless communication across chains
- Cosmos provides modular and scalable architecture

Core Components of Cosmos

1. Tendermint Core
2. Cosmos SDK
3. IBC (Inter-Blockchain Communication)
4. Zones and Hubs



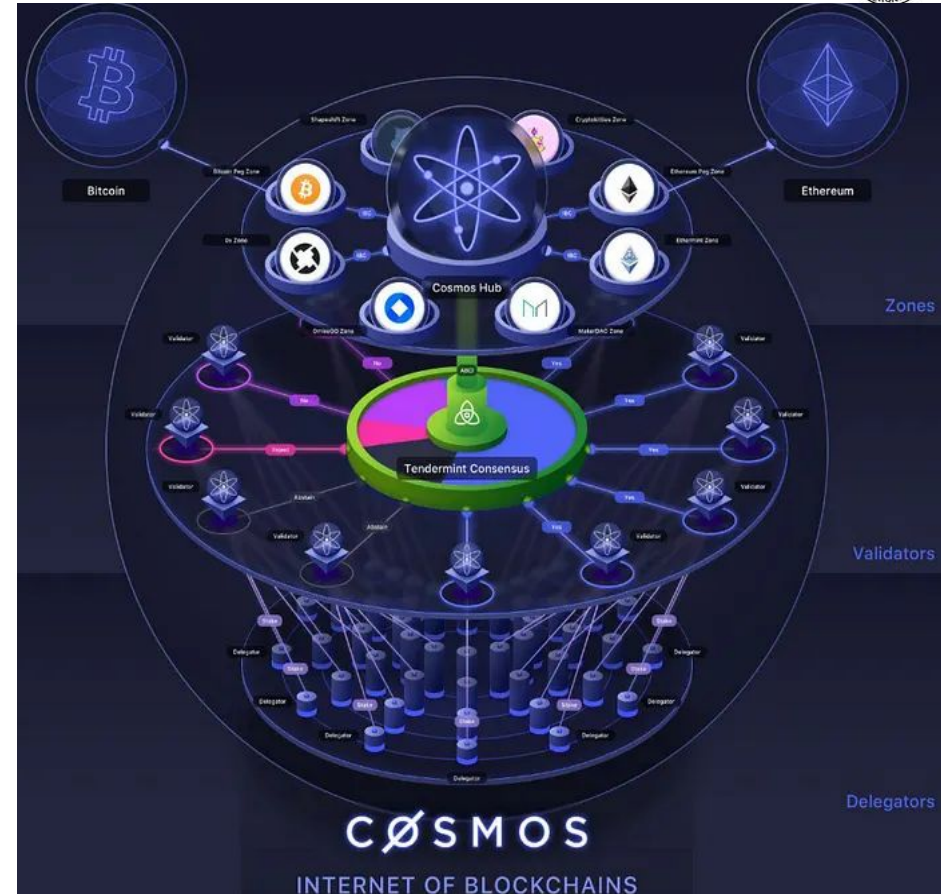
4. Blockchain Interoperability - Cosmos Architecture

1. Tendermint Core

- Byzantine Fault Tolerant (BFT) consensus engine
- Handles Networking & Consensus
- Separates consensus from application logic

2. Cosmos SDK

- Framework for building blockchains
- Modular architecture
- Developers can create custom blockchains easily



4. Blockchain Interoperability - Cosmos Architecture

ABCI (Application Blockchain Interface (ABCI))

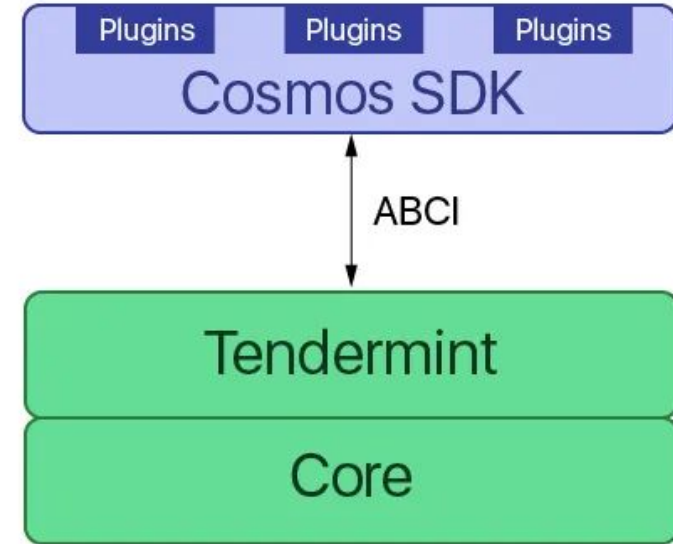
- Interface (protocol) that connects:
 - Application Layer (your blockchain logic)
 - Consensus Layer (handled by Tendermint Core)

How ABCI Works

- Tendermint handles: Networking & Consensus
- ABCI acts as a bridge
- Application handles Transaction processing & State updates

Important ABCI Functions

- CheckTx : Validates transactions before adding to mempool
- DeliverTx : Executes transactions
- Commit : Saves the state



**Simplified architecture of a
Cosmos-SDK based blockchain**

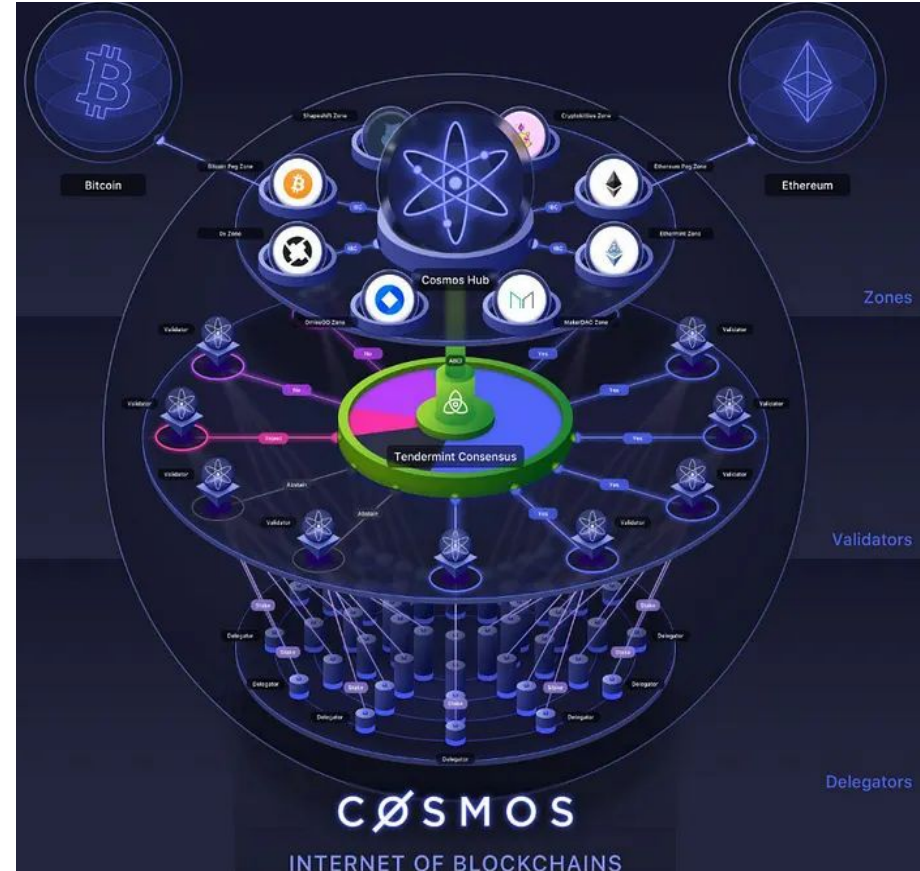
4. Blockchain Interoperability - Cosmos Architecture

3. Zones and Hubs

- Zones: Independent blockchains
- Hubs: Connect multiple zones
 - Ex: Cosmos Hub
- Enables interoperability

4. Inter-Blockchain Communication (IBC)

- Protocol for communication between chains
- Enables: Token transfers, Data sharing
- Secure and trust-minimized



4. Blockchain Interoperability - Cosmos Architecture

Consensus Mechanism

- Uses [Tendermint BFT](#)
- Proof-of-Stake based
- Fast finality (few seconds)
- Energy-efficient

Scalability in Cosmos

- Independent zones process transactions
- Parallel execution
- No congestion across chains

Security Model

- Each zone has its own validators
- [Sovereign](#) security model
- Optional shared security ([Interchain Security](#))

Governance in Cosmos

- [On-chain governance](#) system
- Token holders vote on proposals
- Flexible and decentralized upgrades

4. Blockchain Interoperability - Cosmos Architecture

Advantages of Cosmos Architecture

- High scalability
- Flexibility (custom blockchains)
- Interoperability via IBC
- Fast transaction finality

Limitations / Challenges

- Security depends on individual zones
- Complex ecosystem
- Adoption challenges

Use Cases

- DeFi ecosystems
- Cross-chain asset transfers
- Enterprise blockchain solutions
- Gaming and NFTs

5. Blockchain's Role in Emerging Technologies

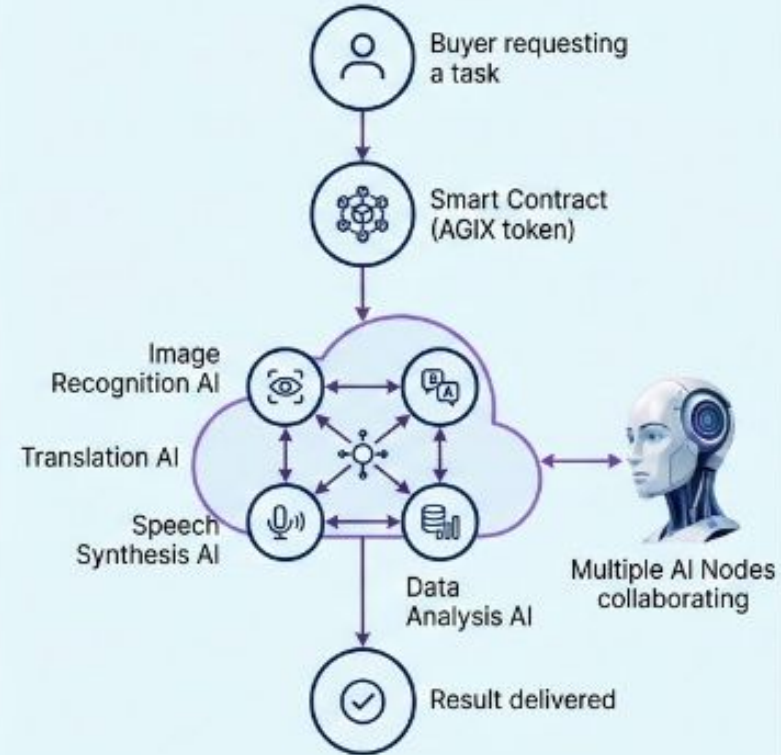
Decentralized AI Marketplace : The Global Brain

Case Study: SingularityNET & Sophia Robot

Focus: How Blockchain allows AI agents to talk to and pay each other without a middleman.

- **The Problem:** AI development is "siloed" within Big Tech (Google, Meta). Small developers can't monetize their AI models easily, and AI models cannot collaborate.
- **Blockchain's Role:**
 - **Smart Contracts:** Automate the exchange of AI services for tokens (AGIX).
 - **Interoperability:** Allows an "Image Recognition AI" to automatically hire a "Translation AI" to describe a photo in another language.
- **Actual Data/Impact:**
 - **Ecosystem:** Over 70+ decentralized organizations are now building on this framework.
 - **Use Case:** Powering the "brain" of Sophia the Robot, allowing her to pull different AI modules from the blockchain in real-time.

Reference Link: [SingularityNET Whitepaper & Case Studies](#)



5. Blockchain's Role in Emerging Technologies

Incentivized Machine Learning Networks

Case Study: Bittensor TAO

- **Focus:** Using Blockchain to create a “Neural Network” that is owned by the community, not a corporation.
- **The Problem:**
 - Training Large Language Models (LLMs) like ChatGPT costs \$100M+. This creates a monopoly for companies with massive GPU clusters.
- **Blockchain's Role:**
 - **Proof of Intelligence:** A consensus mechanism where nodes (miners) are rewarded with tokens (TAO) based on how accurate their AI model's predictions are.
 - **Decentralized Compute:** It connects thousands of small GPUs across the world into one giant virtual supercomputer.



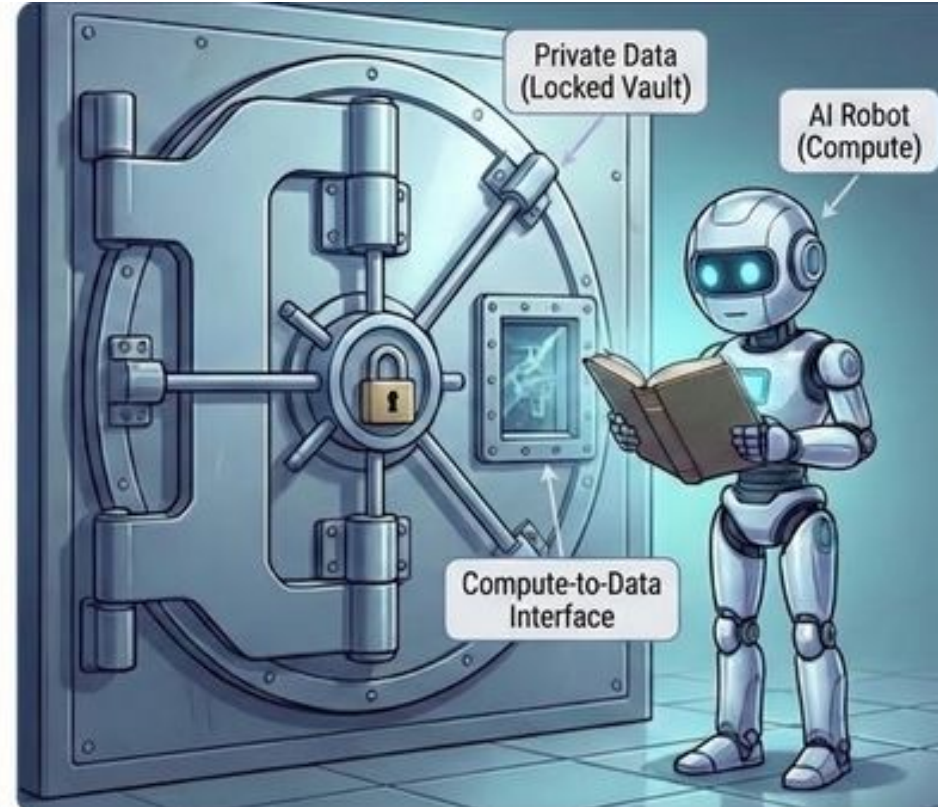
- **Actual Data/Impact:**
 - **Network Scale:** Bittensor has grown to over 32 Subnets specializing in different AI tasks (Text, Image, Audio, Protein Folding).
 - **Market Cap:** Valuation exceeded \$4 Billion (2024), proving massive investor confidence in 'Decentralized AI'.

5. Blockchain's Role in Emerging Technologies

Privacy Preserving AI Training (Compute-To-Data)

Case Study: Ocean Protocol & Daimler (Mercedes-Benz)

- **Focus:** How Blockchain lets AI learn from "hidden" private data without ever seeing it.
- **The Problem:**
 - AI needs massive data to learn, but 80% of corporate data is "locked" because of privacy laws (GDPR).
 - Companies are afraid to share data for fear of leaks.
- **Blockchain's Role:**
 - **Data Tokens:** Turns data access into a digital asset on the blockchain.
 - **Compute-to-Data:** Instead of the company sending data to the AI, the AI is sent to the data. The blockchain verifies the AI's "credentials" and logs that no data was stolen.
- **Actual Data/Impact:**
 - **Daimler PoC:** Successfully used the decentralized marketplace to share internal supply chain data with external partners without moving the data from their private servers.
 - **Efficiency:** Reduced the time to "onboard" data partners from weeks to minutes.



5. Blockchain's Role in Emerging Technologies

Blockchain & IoT (Securing the Future of connected devices)



What is IoT + Key Characteristics

- Network of physical objects ("things") embedded with sensors, software, and other technologies.
- Enables devices to connect and exchange data over the internet.
- Key characteristics: massive connectivity, real-time data generation, and automation.



Security & Scalability Challenges

- Vulnerability to hacking and data breaches due to centralized servers.
- Difficulty in managing and securing billions of connected devices.
- Scalability issues as the number of devices and data volume grows exponentially.



Data Integrity

Ensures data is immutable and tamper-proof, creating a single source of truth.



Decentralization

Removes single points of failure by distributing data and control across the network.



Smart Contracts in IoT

Automates processes and transactions based on predefined conditions, enhancing efficiency.



Traditional IoT

Centralized, vulnerable, siloed data.



Transition

Integration of blockchain technology.

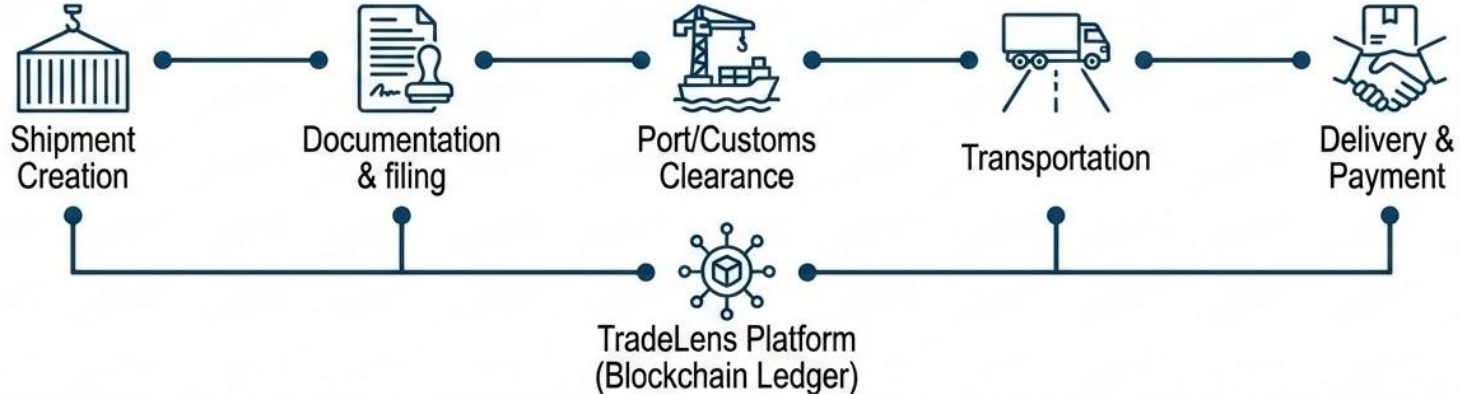
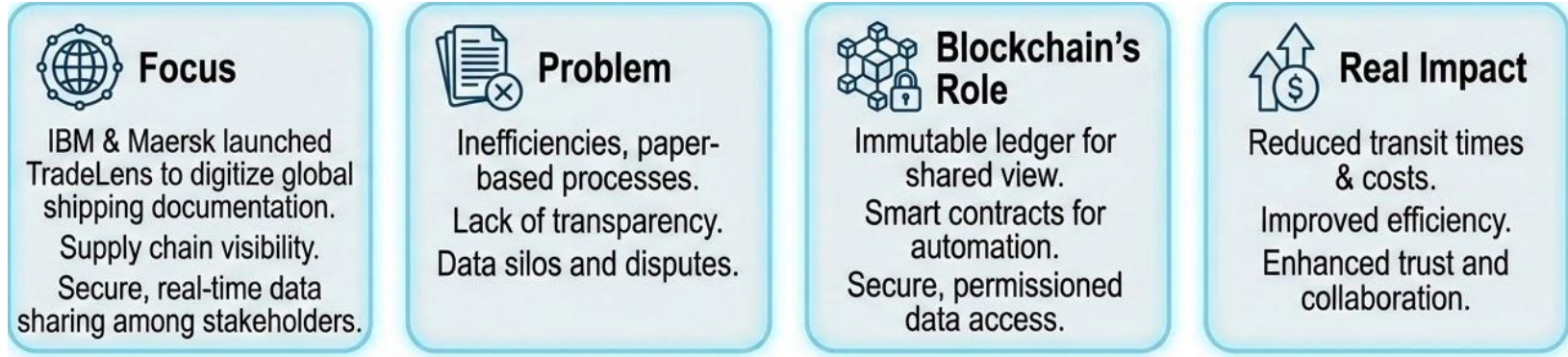


Blockchain-Enabled IoT

Decentralized, secure, transparent, automated.

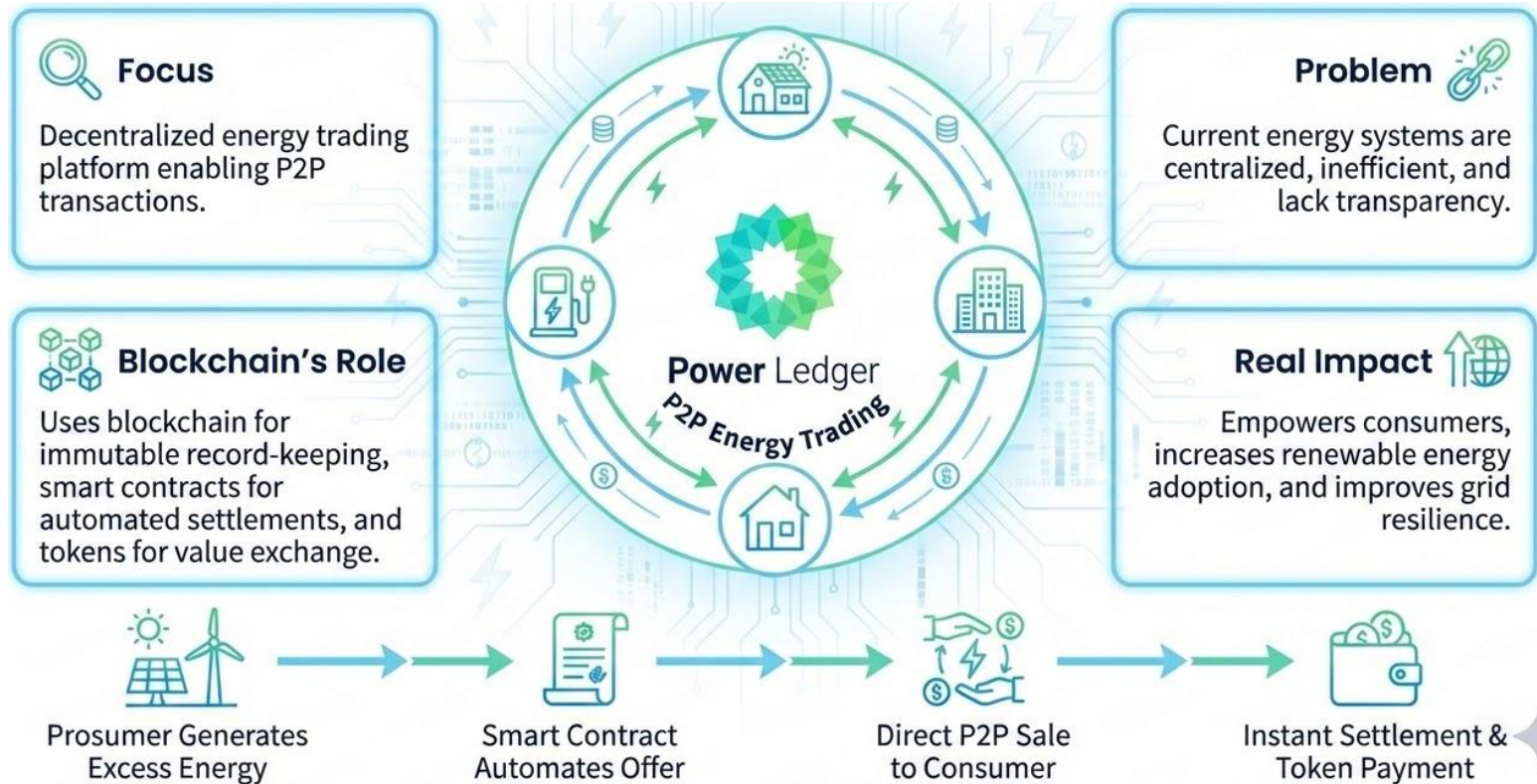
5. Blockchain's Role in Emerging Technologies

Blockchain in IoT - Case Study: IBM & Maesrek (TradeLens)



5. Blockchain's Role in Emerging Technologies

Blockchain in IoT - Case Study: PowerLedger



5. Blockchain's Role in Emerging Technologies - Metaverse



What is the Metaverse?

- A persistent, immersive 3D virtual environment.
- Users interact through digital avatars.
- Combines gaming, VR/AR, social networking, digital commerce.
- Functions as a parallel digital economy.



Core Characteristics

- Persistence: world continues even when users log off.
- Digital identity through avatars.
- Virtual assets such as land, skins, wearables, art.
- Real economic value attached to digital goods.



The Problem Without Blockchain

- Centralized control by companies like Meta or Roblox.
- Users do not truly own digital assets.
- Platform lock-in and lack of interoperability.
- Risk of censorship or shutdown.



Why Blockchain is Critical

- Enables verifiable digital ownership through NFTs.
- Transparent and tamper-proof transactions.
- Token-based digital economies.
- Cross-platform interoperability potential.



User



Avatar



Virtual Asset



Blockchain Ledger



Persistent Ownership

5. Blockchain's Role in Emerging Technologies - Metaverse Gaming

Case Study: The Sandbox & Axie Infinity



Focus

How blockchain transforms gaming from centralized entertainment to player-owned economies.



The Problem in Traditional Gaming

- In Fortnite or PUBG, items are licensed, not owned.
- Players cannot freely resell assets.
- Developers control the in-game economy.
- If servers shut down, digital assets disappear.



Blockchain's Role

- NFTs represent characters, skins, land, weapons.
- Smart contracts enable peer-to-peer resale.
- Native tokens such as SAND and AXS power the economy.
- Assets stored in user wallets, not company servers.
- Play-to-earn model creates new income streams.



Real Impact

- Axie Infinity generated real income in some countries.
- The Sandbox sold virtual land for millions.
- Global brands entered blockchain-based virtual worlds.



Player



Earn NFT



Store in Wallet



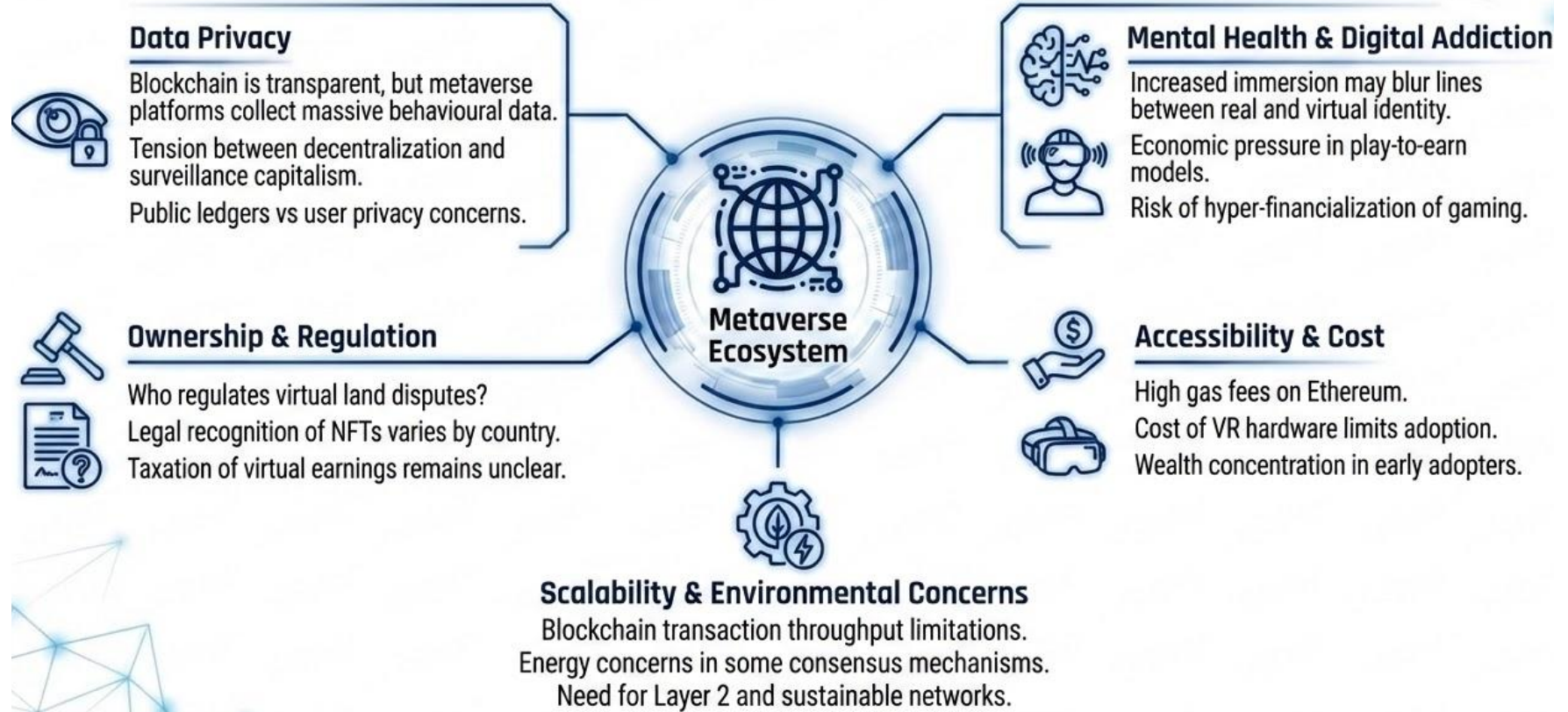
Trade in Marketplace



Receive Tokens

5. Blockchain's Role in Emerging Technologies

Challenges & Risks in Blockchain Powered Metaverse



6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for Supply Chain Management

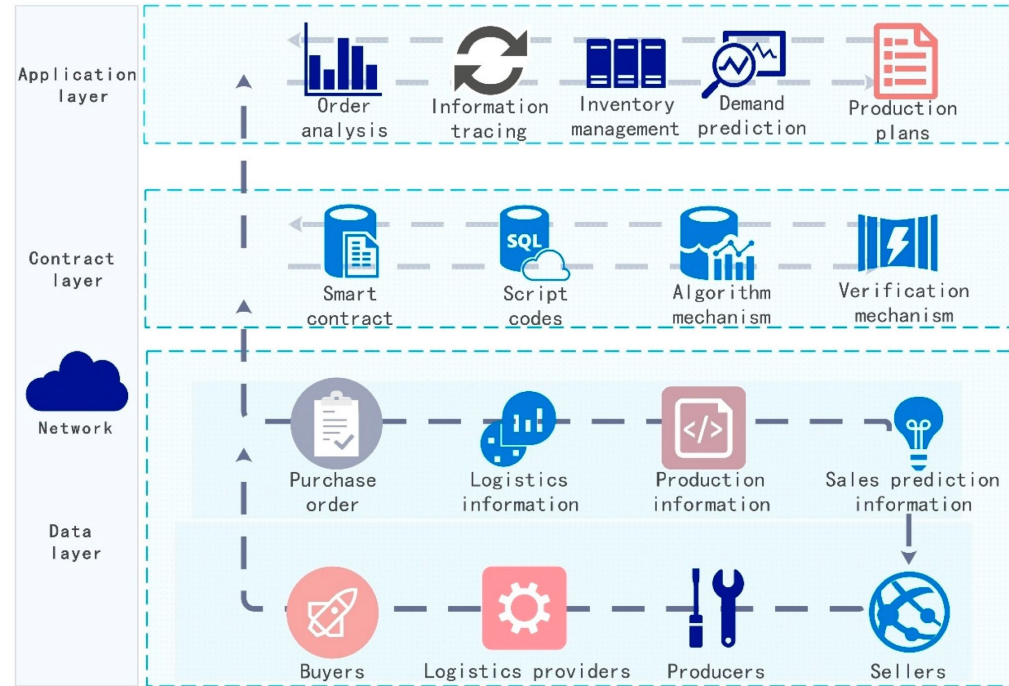
(specifically pharmaceutical, food, or luxury goods).

- **Objective:**

- To replace fragmented, paper-based tracking with a transparent, immutable distributed ledger
- To improve traceability,
- To reduce fraud, and
- To increase operational efficiency.

- **Key Challenges Addressed:**

- Discrepancies in inventory records,
- Slow response to defects/recalls,
- Lack of trust between partners, and
- High manual auditing costs.



6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for Supply Chain Management

Phase 1: Conceptualization & Requirements

- **Identify Stakeholders:**
 - Raw material suppliers,
 - manufacturers,
 - logistics providers,
 - distributors,
 - retailers, and
 - regulatory bodies.
- **Select Technology:** **Hyperledger Fabric** is preferred
 - permissioned nature (high privacy),
 - high transaction throughput, and
 - no transaction fees compared to public chains.
- **Define Smart Contract Logic:**
 - Asset Creation: Initializing the unique digital identity of a product.
 - Transfer of Custody: Transferring ownership between stakeholders.
 - Mass Balancing: Ensuring the output mass does not exceed the input mass.

6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for Supply Chain Management

Phase 2: System Architecture & Development

- **Network Setup (Fabric):**
 - Consortium network created to authorized partners join as nodes.
 - Member Service Providers (MSPs) manage identities.
- **Smart Contracts (Chaincode):**
 - Developed in Go or Java to enforce validation rules.
 - Example: Automatically flagging a shipment if the temperature sensor (IoT) records an invalid range.
- **Backend & API:**
 - Node.js or Python API is built to allow legacy ERP systems (like SAP) to interact with the blockchain network.
- **Frontend Development:**
 - Web dashboard (HTML/JS) providing real-time visibility for stakeholders to track product journeys.

6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for Supply Chain Management

Phase 3: Testing & Validation

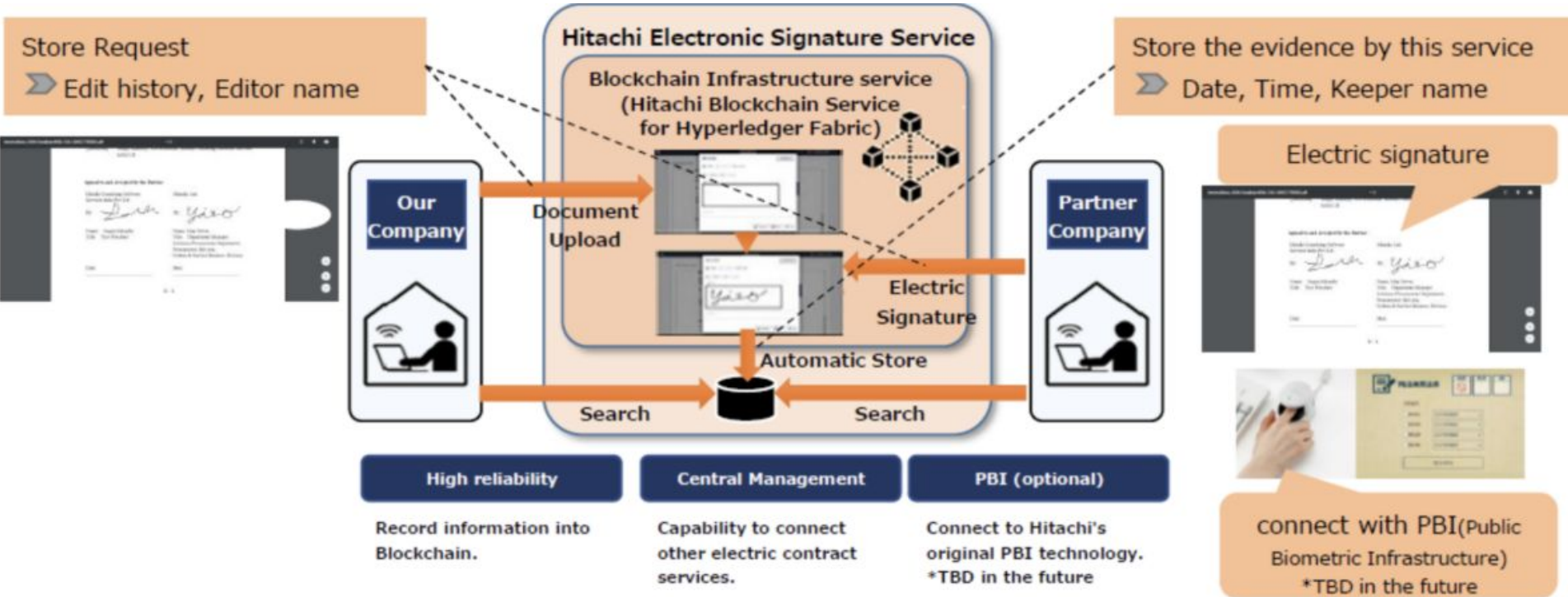
- **Unit Testing:**
 - Rigorously testing individual chaincode functions
 - [to prevent bugs in immutable infrastructure.](#)
- **Integration Testing:**
 - Simulating a complete transaction lifecycle from supplier to retailer
 - [to check for data synchronization errors.](#)
- **Performance Testing:**
 - Evaluating transaction latency under high-load scenarios
 - [to ensure scalability.](#)

6. Case Study: End-to-End Development and Deployment of a Blockchain-Based Solution for Supply Chain Management

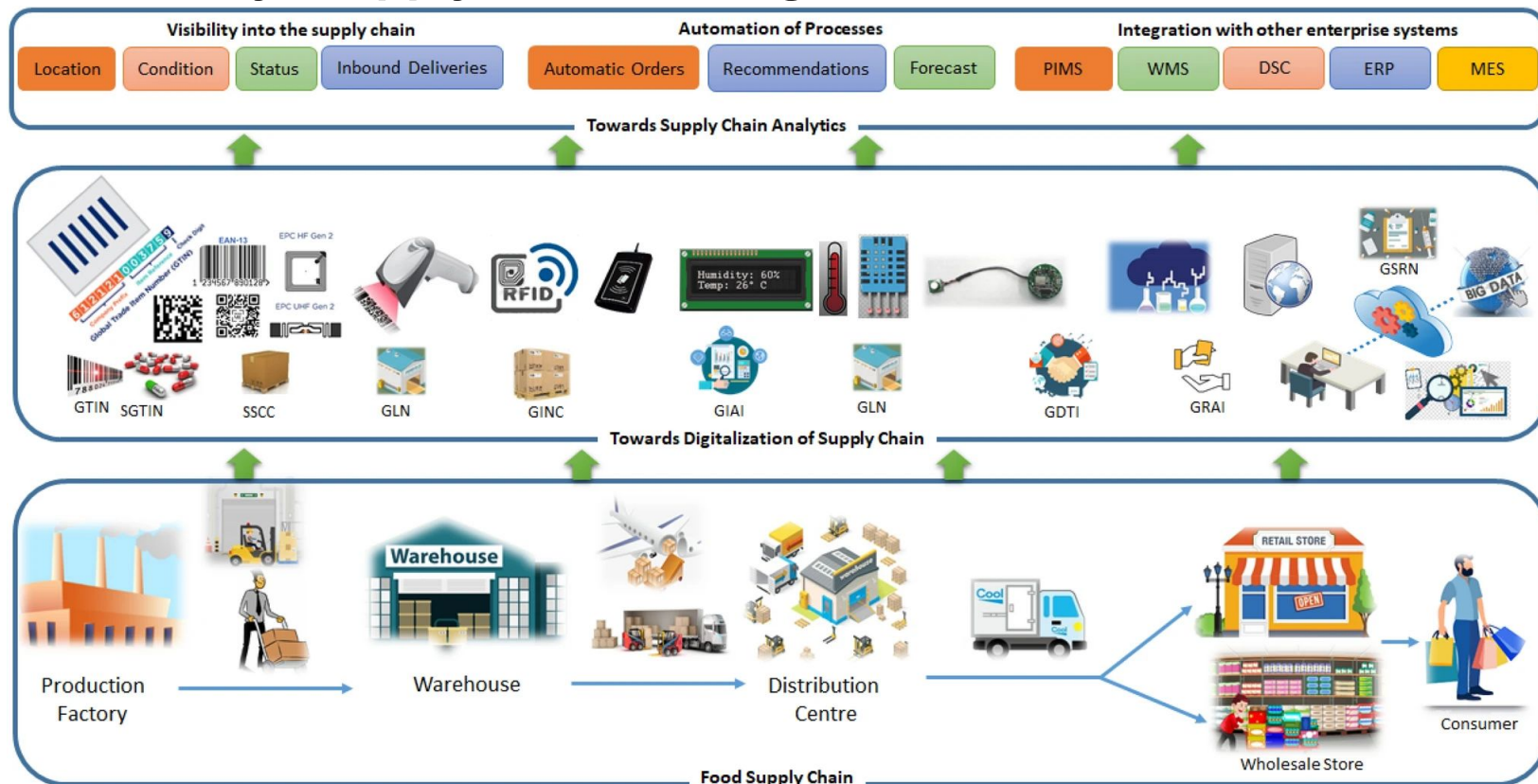
Phase 4: Deployment & Implementation

- **Infrastructure:**
 - Deployment on cloud providers (e.g., AWS using EKS or Azure)
 - [to run Docker containers.](#)
- **Permissioning:**
 - Setting up access rights for each participant,
 - [ensuring that sensitive data is only visible to authorized parties.](#)
- **Legacy Integration:**
 - Connecting existing ERP databases to the blockchain
 - to start uploading data, enabling parallel running before complete switchover.

6. Case Study: Hitachi Electronic Signature Service



6. Case Study: Supply Chain Management



GTIN = Global Trade Item Number, SSCC = Serial Shipment Container Code, GINC = Global Id Number for Consignment, SGTIN = Serialized Global Trade Item Number, EAN = European Article Number
 GLN = Global Location Number, GRAI = Global Returnable Asset Identification, GSRN = Global Service Relation Number, GIAI = Global Individual Asset Identifier, EAN = European Article Number
 PIMS = Project Information Management System, WMS = Warehouse Management System, DSC = Data Supply Chain, ERP = Enterprise Resource Planning, MES = Manufacturing execution systems

6. Case Study References

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